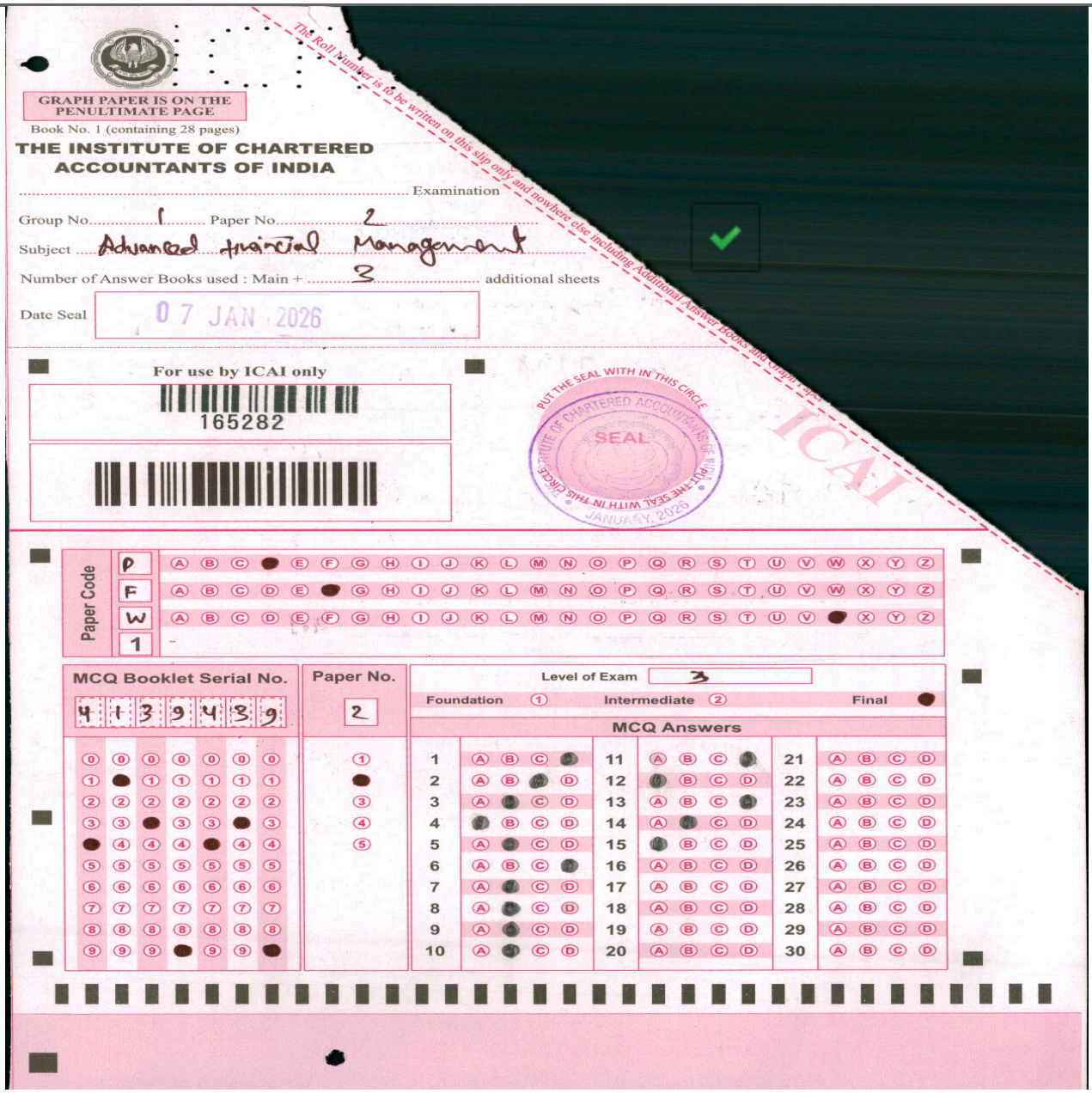
The Institute of Chartered Accountants of India

Code: FN2AF165282 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 43



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

..... Examination

Group No. 1 Paper No. 2

Subject Advanced Financial Management

Number of Answer Books used : Main + 3 additional sheets

Date Seal 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

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165282

PUT THE SEAL WITH IN THIS CIRCLE — THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA — SEAL — JANUARY 2026

Paper Code: P F W 1

MCQ Booklet Serial No.: 4 1 3 9 4 3 9

Paper No.: 2

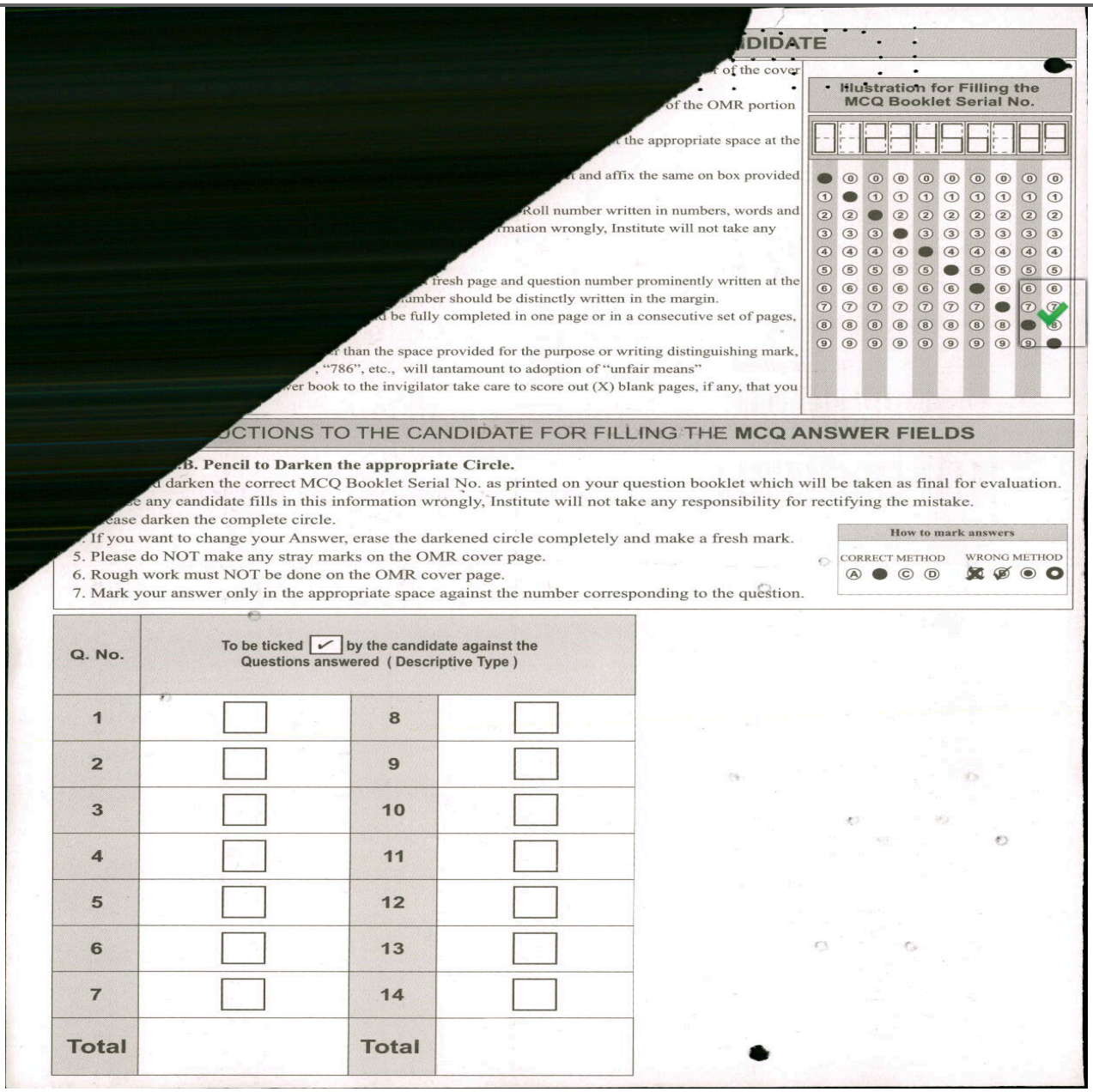
Level of Exam: 3 (Foundation 1, Intermediate 2, Final)

MCQ Answers

1	A B C ●	11	A B C ●	21	A B C D
2	A B ● D	12	● B C D	22	A B C D
3	A ● C D	13	A B C ●	23	A B C D
4	● B C D	14	A ● C D	24	A B C D
5	A ● C D	15	● B C D	25	A B C D
6	A B C ●	16	A B C D	26	A B C D
7	A ● C D	17	A B C D	27	A B C D
8	A ● C D	18	A B C D	28	A B C D
9	A ● C D	19	A B C D	29	A B C D
10	A ● C D	20	A B C D	30	A B C D

The Institute of Chartered Accountants of India

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be fully completed in one page or in a consecutive set of pages,

than the space provided for the purpose or writing distinguishing mark,
, "786", etc., will tantamount to adoption of "unfair means"
er book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

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UCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

B. Pencil to Darken the appropriate Circle.
darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.
e any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.
ease darken the complete circle.
. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD Ⓐ ● Ⓒ Ⓓ WRONG METHOD ⊗ ⊘ ◉ ○

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	

03

Q 5(b).

Note: assuming that fund required is net of floating cost.

~~issue price~~

~~fund required = $14.775 mio~~

Issue price(₹) = (₹500 x 7 shares) (1-0.07)

Issue price per GDR = ₹3255

in ($) = ~~₹3255~~ ₹3255 / 81.3750 = 40$ / GDR

5bStep1 4

Gross ~~issue~~ fund required = 14.775 $ / (1-0.015)

Gross fund Required, = $ 15 mio

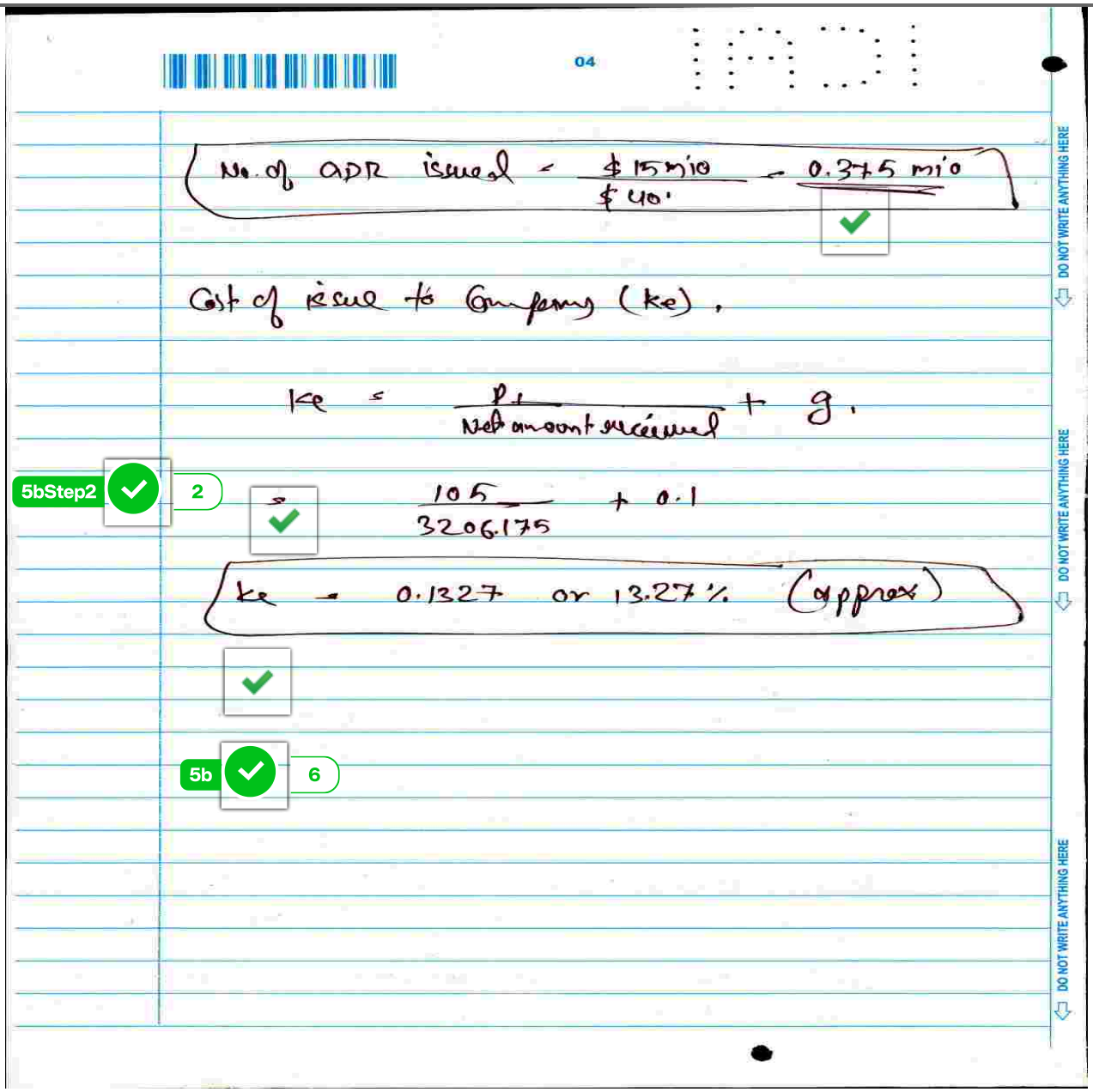
Amount received By Company = (3255 - 1.5%) / GDR
= ₹3206.175 (approx)

Expected Dividend (100 x 15%) x 7 = ₹105
growth Rate = 10%.

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04
No. of ADR issued = $15 mio / $40 = 0.375 mio
Cost of issue to Company (ke).
ke = D1 / Net amount received + g.
5bStep2 2
= 105 / 3206.175 + 0.1
ke = 0.1327 or 13.27% (approx)
5b 6
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05

Q 5 (a).

(i) Preparing rank table using Treynor Ratio

	$\frac{(R_x - R_F)}{\beta}$	Treynor Ratio	Rank
A	$\frac{5-7}{0.5}$	-4	V
B	$\frac{25-7}{2.5}$	7.2	III
C	$\frac{15-7}{1}$	8.	I ✔
D	$\frac{10-7}{1.5}$	2.	IV
E	$\frac{20-7}{1.8}$	7.22	II

(ii) Calculation of Cut off point. (C)

(WN1) Calculation of $C_{unq} = \frac{(R_x - R_F)\beta}{\sigma_{ex}^2}$

		C_{unq}	$(\%)$ C_{unq}
Security C	$\frac{(15-7) \times 1}{25}$	0.32	0.32
Security E	$\frac{(20-7) 1.8}{18}$	1.3	1.62

S

06

			(%)
Security B	$\frac{(25-7)\times 2.5}{20}$	2.25	3.87
Security D	$\frac{(10-7)1.5}{10}$	0.45	4.32
Security A	$\frac{(5-7)18}{18}$	-0.2	4.12

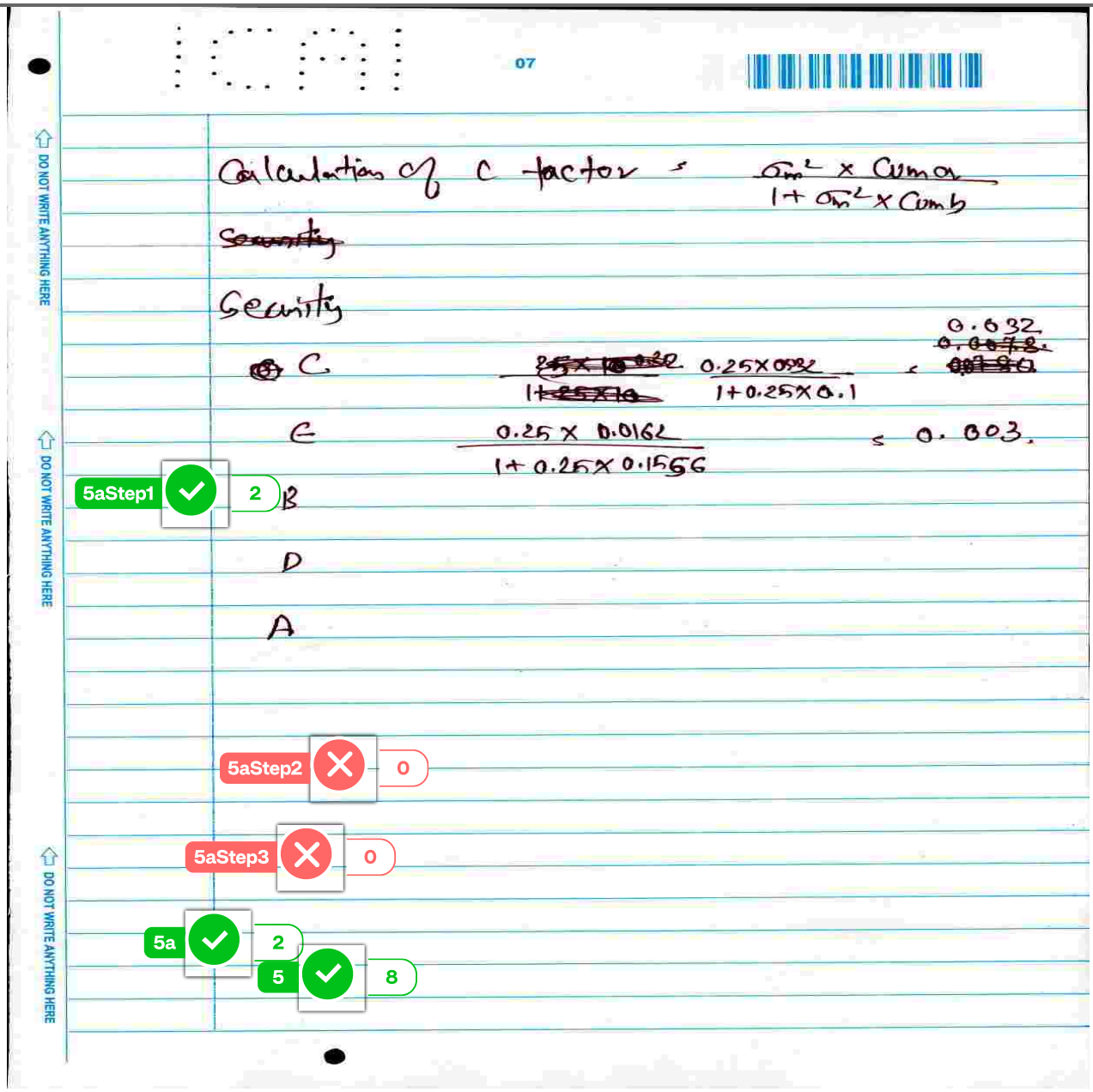
(WN2) Calculation of Cum b = $\frac{\beta \times e}{\sigma^2}$

Security		b	Cum b (%)
C	$\frac{10}{(1)^2}$	10	10
E	$\frac{18}{(1.8)^2}$	5.56	15.56
B	$\frac{20}{(25)^2}$	3.2	18.76
D	$\frac{10}{1.5}$	4.44	23.20
A	$\frac{25}{0.5}$	100	123.20

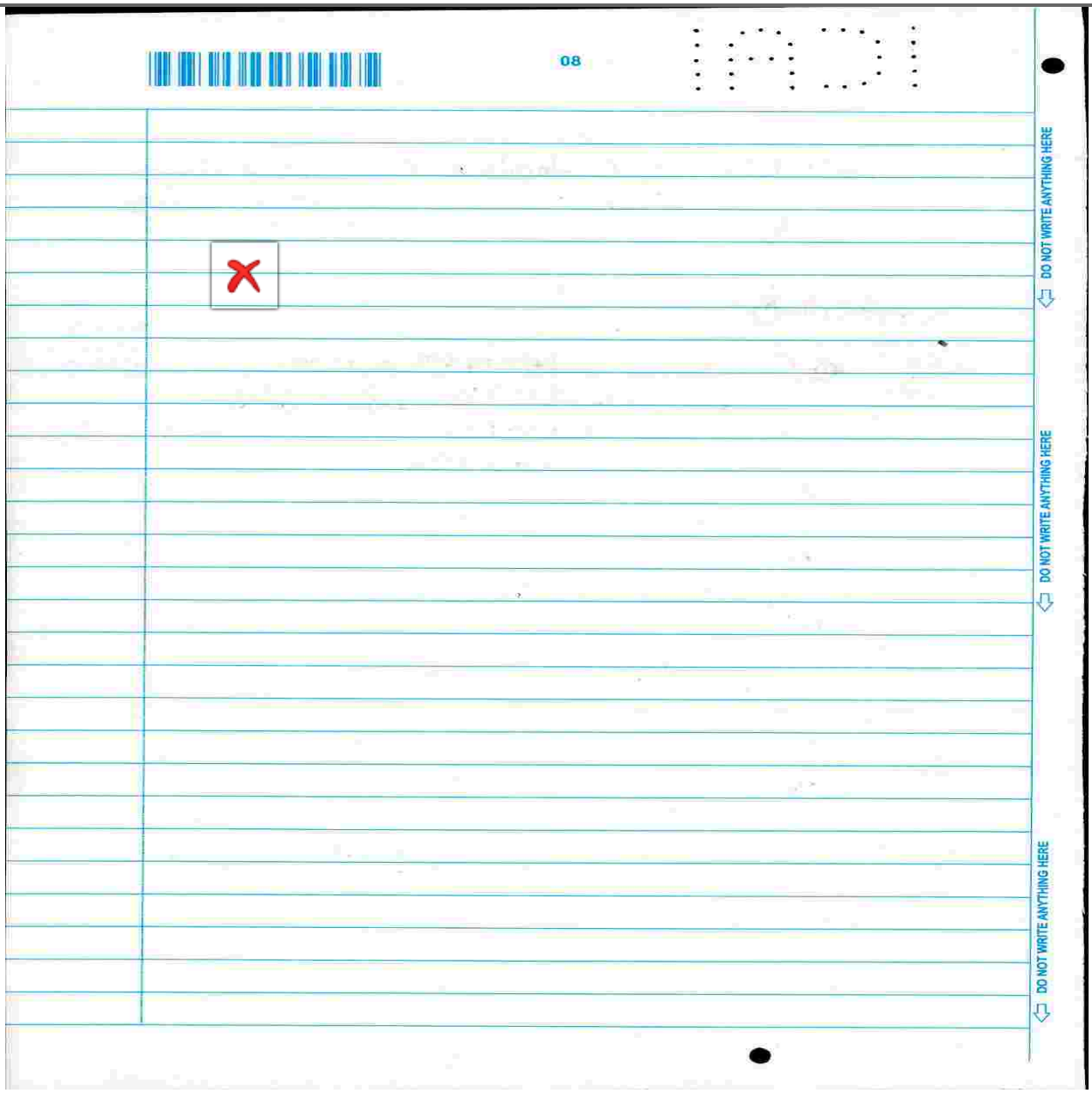
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Code: FN2AF165282 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 43



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Subject : 02 Advanced Financial Management Marks Obtained : 43



09

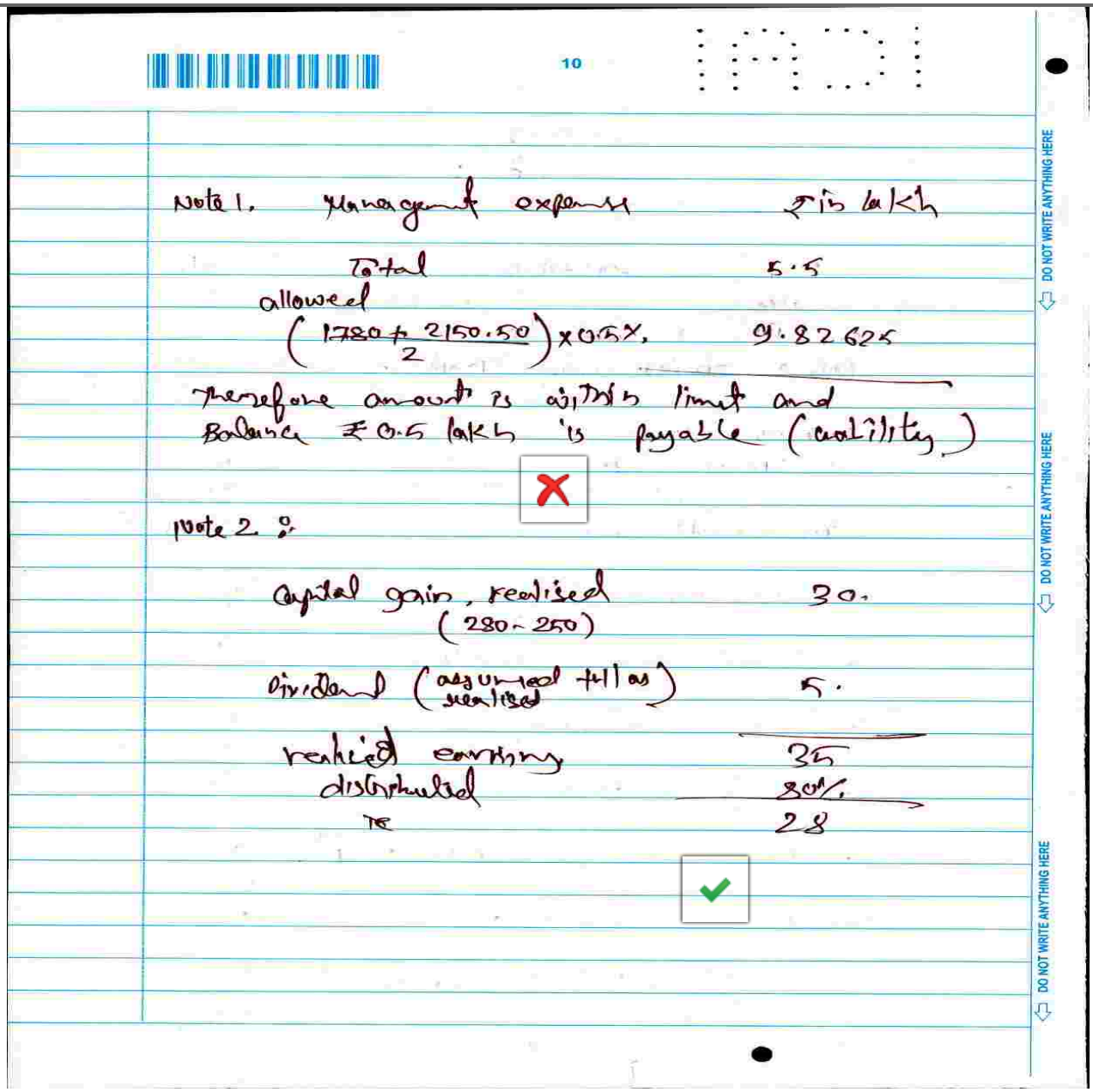
Q 6 (a)

WN1. Calculation of Cash balance

Note :- It is assumed that underwriting commission is on full amounts

Opening Cash (200 × 10)	2000
(–) underwriting Commission (2000 × 2%)	(40)
(–) Initial investment (·	(1780)
(–) Marketing expense (assuming paid)	(25)
(+) Investment Sold	280
(–) Investment purchased	(265)
(–) Management expense paid (Note)*	(5)
(+) Dividend receive (5 - 0.4)	4.6
(–) Earning distributed (Note 2)*	(28)
closing balance of Cash	141.6

6aStep1 3



10

Note 1. Management expenses ₹ in lakh

Total 5.5

allowed $\left(\frac{1780 + 2150.50}{2}\right) \times 0.05\%$ 9.82625

Therefore amount is within limit and Balance ₹0.5 lakh is payable (available)

Note 2. :

Capital gain, realised (280 - 250) 30.

Dividend (assumed realised + all as) 5.

realised earning 35

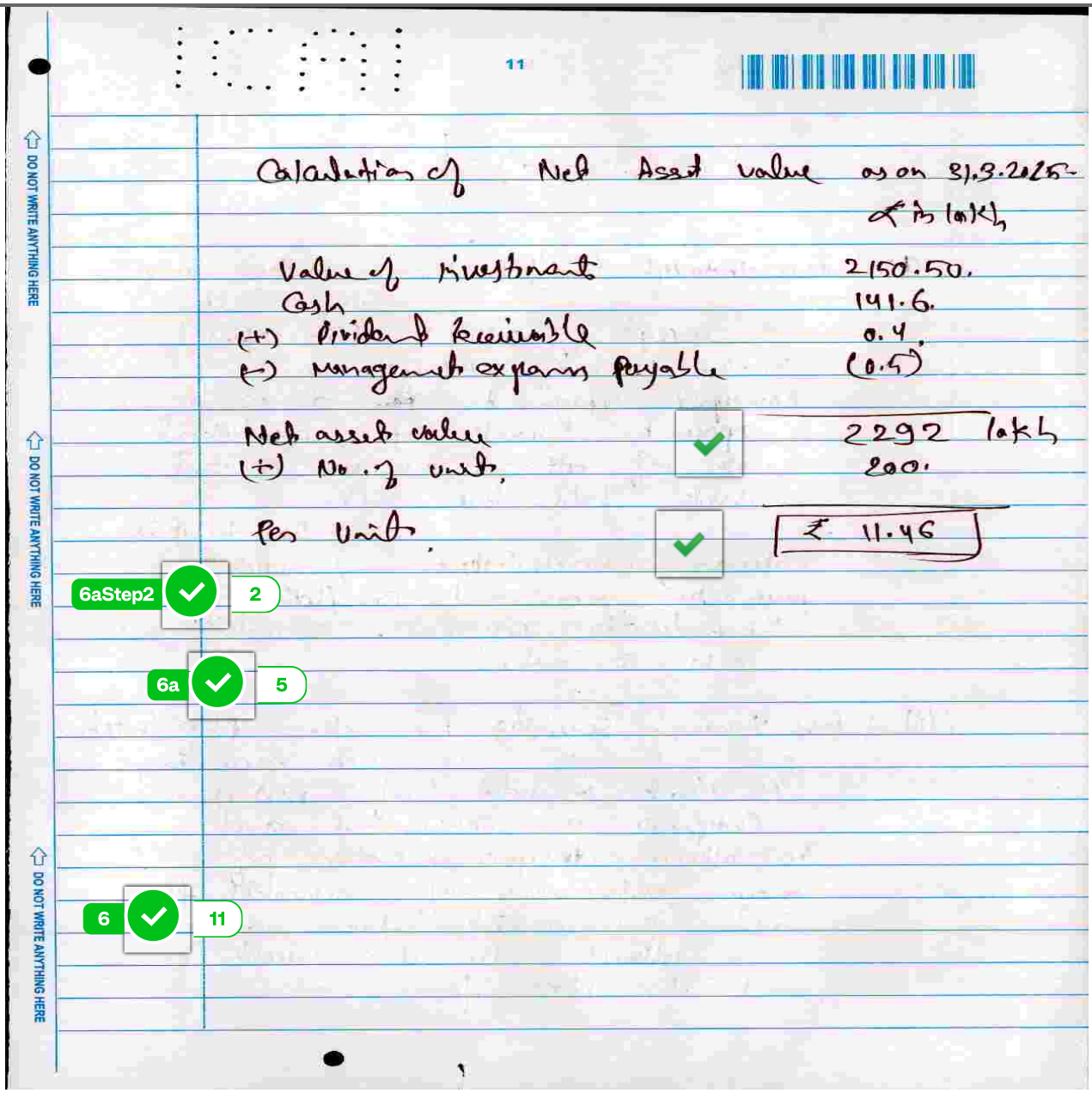
distributed 80%

₹ 28

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11

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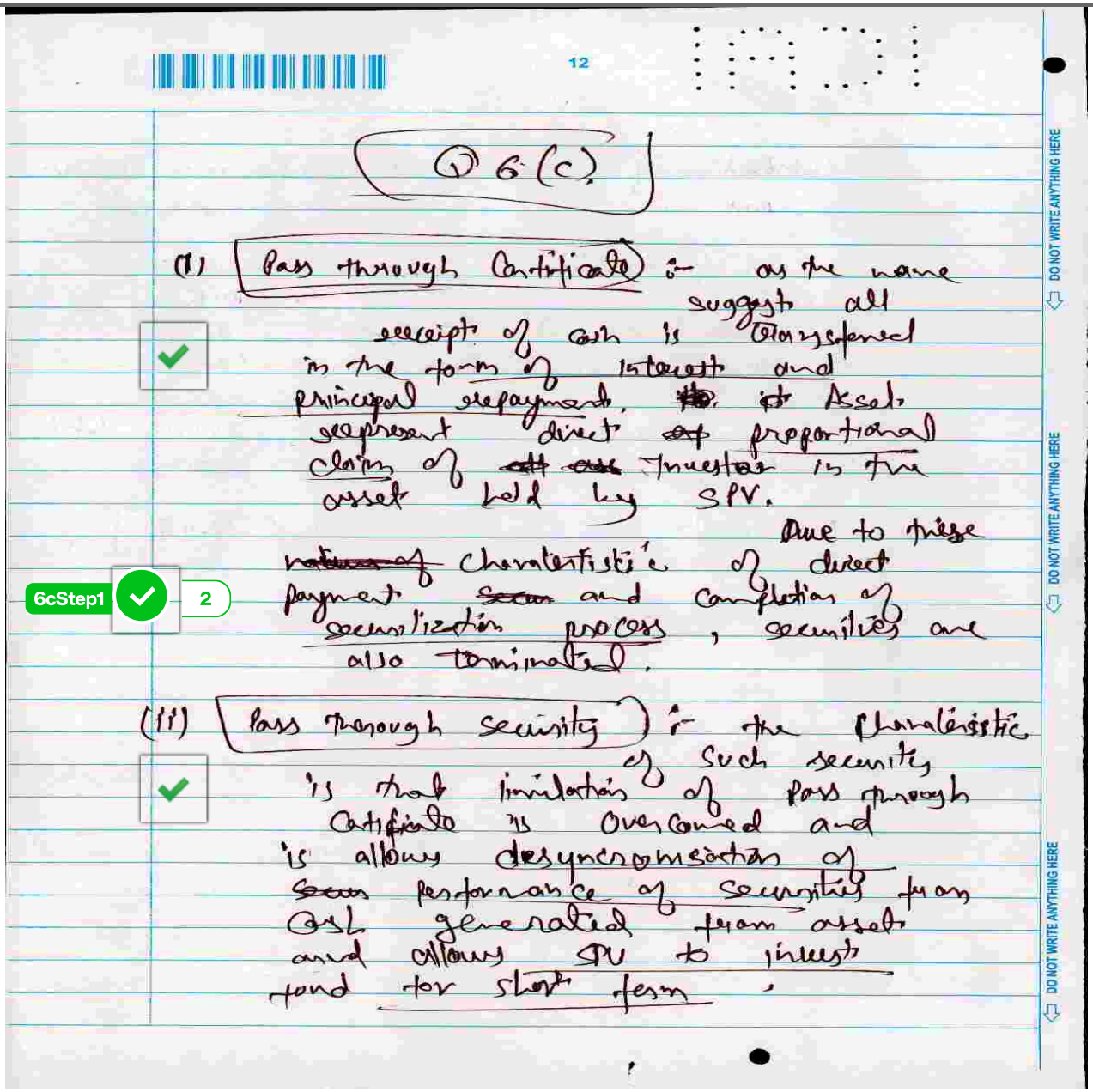
Calculation of Net Asset value as on 31.3.2025

	₹ in lakh
Value of investment	2150.50.
Cash	141.6.
(+) Dividend Receivable	0.4.
(-) Management expenses payable	(0.5)
Net asset value	2292 lakh
(+) No. of units.	200.
Per Unit.	₹ 11.46

6aStep2 2

6a 5

6 11



12

Q 6 (c)

(i) Pass through Certificate :- as the name suggest all receipt of cash is transferred in the form of interest and principal repayment, it represent direct proportional claim of Investor in the asset held by SPV.

Due to these characteristic of direct payment and completion of securitization process, securities are also terminated.

6cStep1 2

(ii) Pass through security :- the characteristic of such security is that limitation of Pass through Certificate is overcomed and is allows desynchronisation of performance of security from cash generated from asset and allows SPV to invest fund for short term.

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13

(iii) Principal Only Securities (PO) and ~~Principal~~ Interest only Securities (IO)

In these holder of PO securities will Receive only principal and IO Security holders receive only interest

However due to volatility is not usually preferred

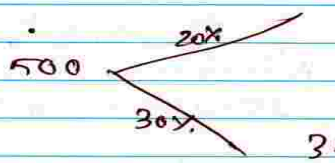
6c 2

14

Q 6 (b)

~~Put~~

Strike = ~~450~~ 450 Put payoff Nil



100.

⇒ Calculation of probability.

P_u – up probability

P_d = down probability

~~500~~

$500 \times (1.08) = 800\,P_u + 350\,(1 - P_u)$

$540 = 600\,P_u + 350 - 350\,P_u$

~~250 P_u~~

$540 - 350 = 600\,P_u - 350\,P_u$

$190 = 250\,P_u$

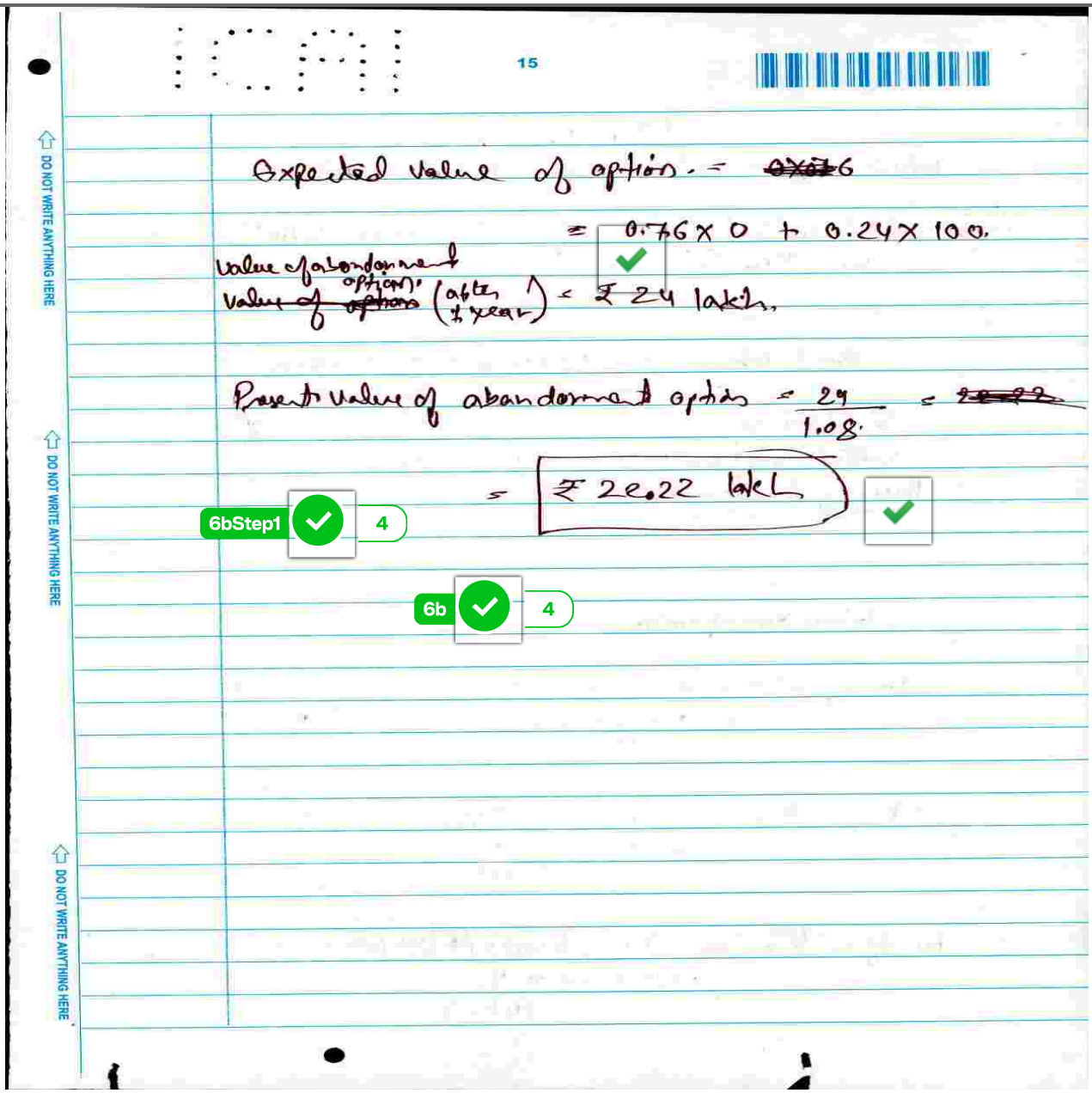
$P_u = 0.76$ ✔

Accordingly $P_d = 1 - 0.76 = 0.24$

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15

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Expected value of option. = ~~0.76~~

= 0.76 × 0 + 0.24 × 100.

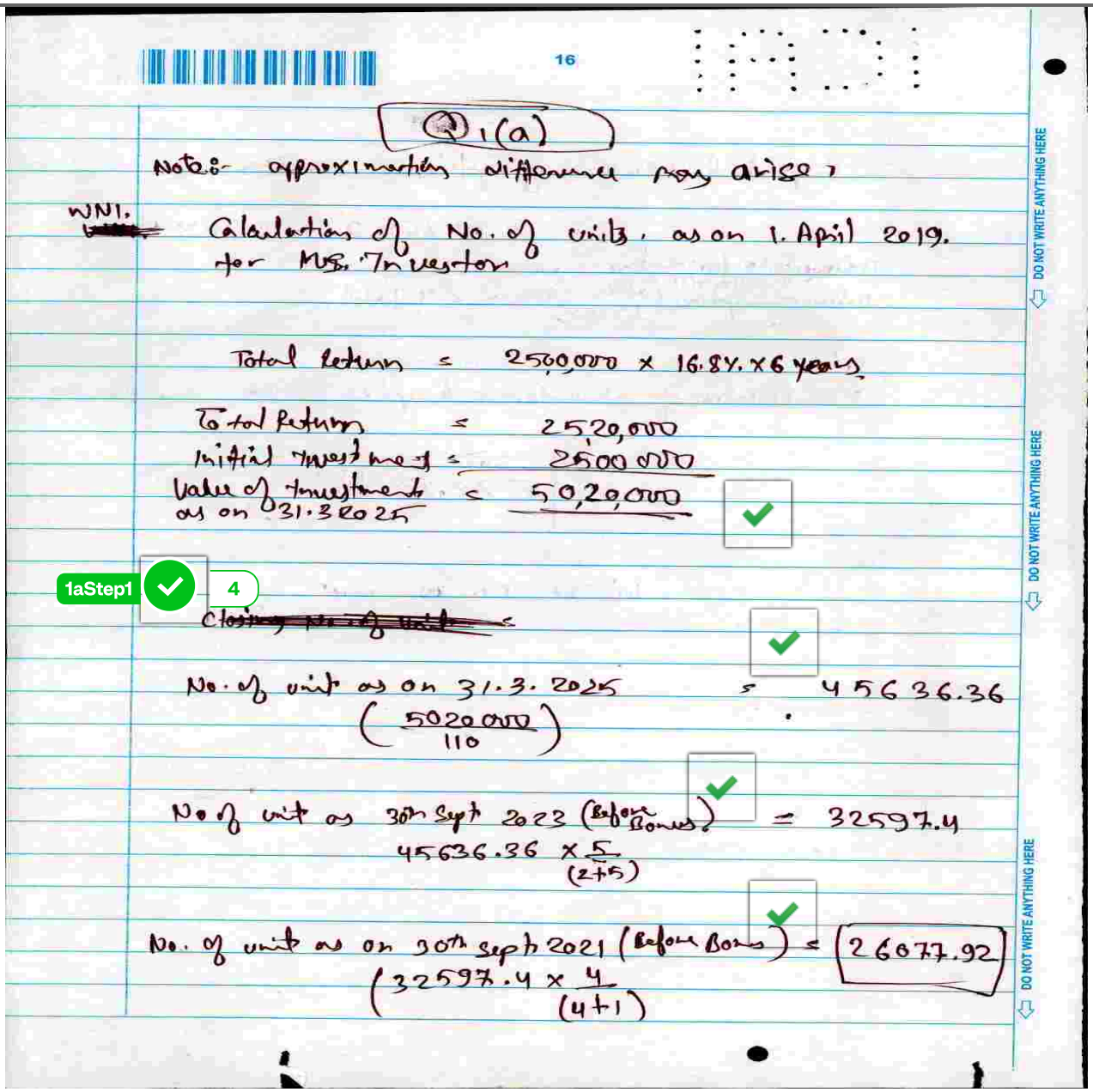
Value of abandonment option (after 1 year) = ₹ 24 lakh.

Present value of abandonment option = $\frac{24}{1.08}$ = ~~22.22~~

= ₹ 22.22 lakh

6bStep1 4

6b 4



16

Q.1(a)

Note:- approximation difference may arise.

WN1. Calculation of No. of units, as on 1. April 2019. for MS. Investor

Total Return = 2500000 × 16.8% × 6 years

Total Return = 2520000
Initial Investment = 2500000
Value of Investment as on 31.3.2025 = 5020000

1aStep1 4

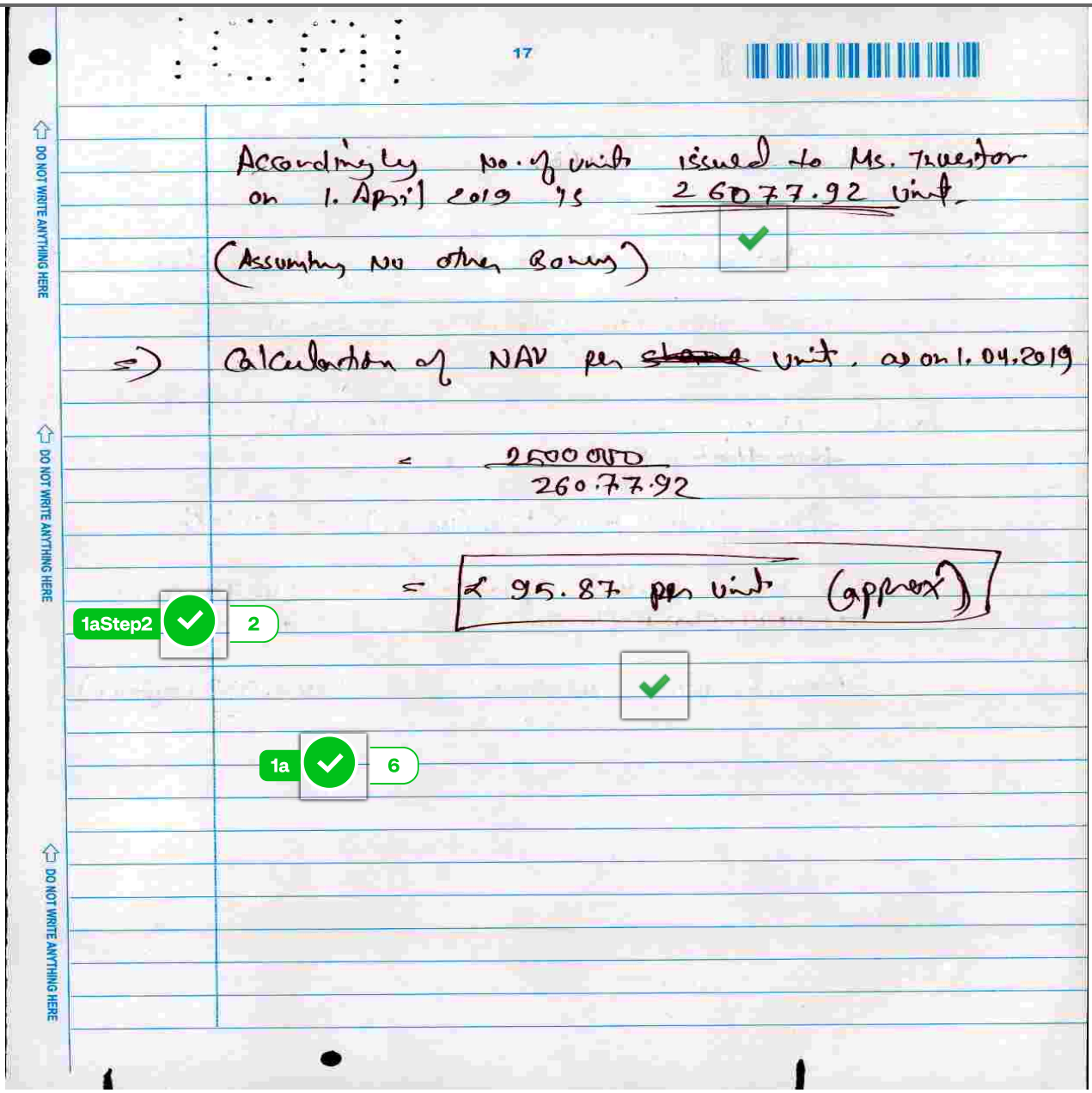
Closing No. of unit =

No. of unit as on 31.3.2025 = 45636.36
(5020000 / 110)

No of unit as 30th Sept 2023 (Before Bonus) = 32597.4
45636.36 × 5/(2+5)

No. of unit as on 30th Sept 2021 (Before Bonus) = 26077.92
(32597.4 × 4/(4+1))

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17

Accordingly No. of units issued to Ms. Investor on 1. April 2019 is 260772.92 Unit.

(Assuming No other Borrowing)

⇒ Calculation of NAV per ~~share~~ unit, as on 1.04.2019

$= \frac{25000000}{260772.92}$

$= ₹ 95.87$ per unit (approx)

1aStep2 2

1a 6

18

Q1(b)

WN1. Calculation of Market price of Tata's share

Total share (No. of share) = $126 \times \frac{100}{84\%}$

Total No. of share = 150 lakh

free float (150 × 16% (100-84) = 24 lakh,

free float market capitalization = 34.40 Crore
(÷) No. of share (in crore) 0.24 Crore

Market price per share = ₹143.333 (approx)



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19

(ii) Calculation of P/E Ratio.

Profit after tax = 9.6 Crore
(÷) No. of Share = 1.5 Crore

Earning per share (EPS) = 6.4

P/E Ratio = Market price / EPS

= 143.33 / 6.4

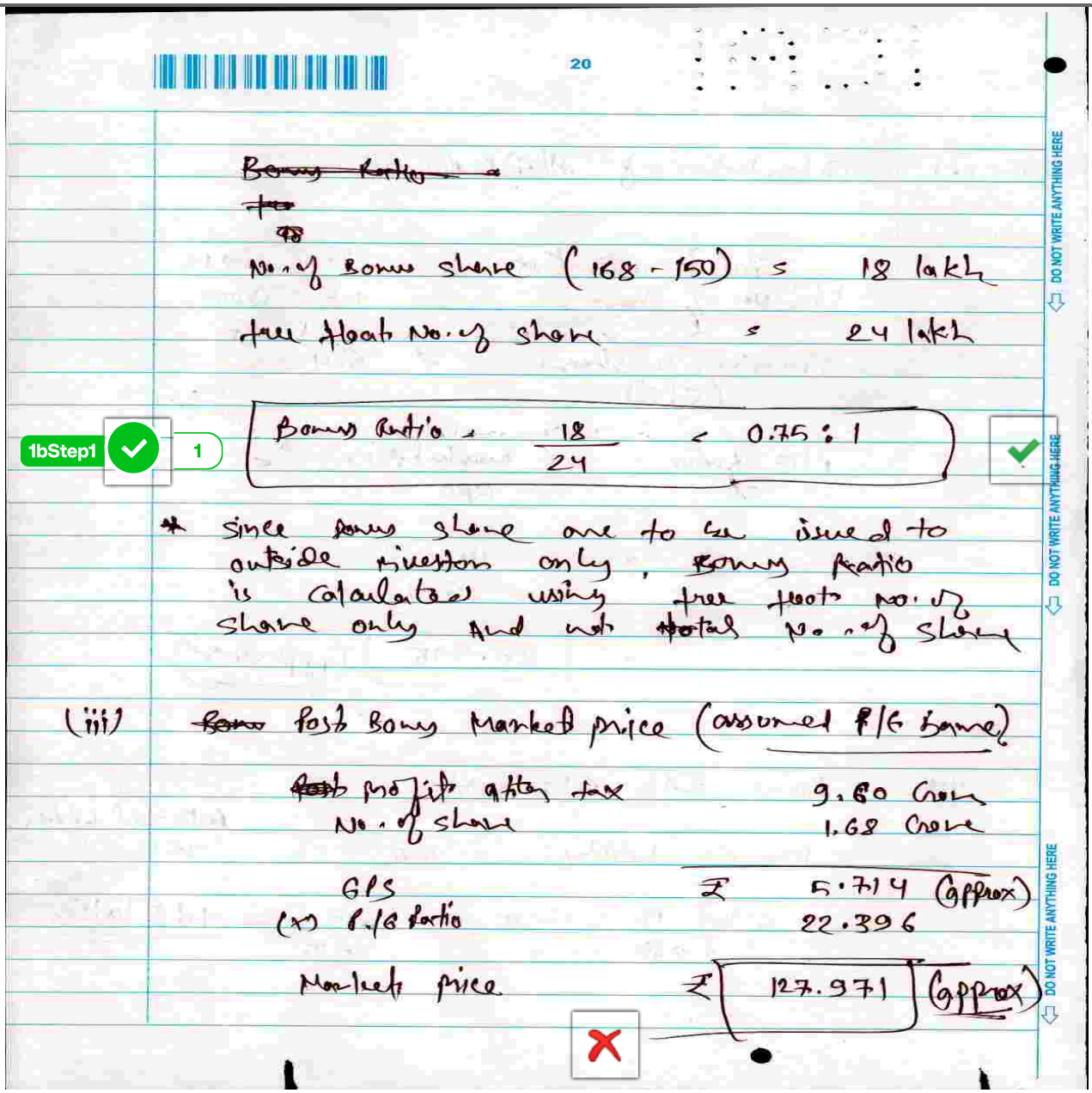
= 22.395 (approx)

(iii) Bonus Ratio, Calculation.

Promotor holding. 126 Restricted holding 75%

Total No. of share (after Bonus) = 126 / 75% = 168 lakh

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20

~~Bonus Ratio = ~~

~~to~~

No. of Bonus share (168 - 150) = 18 lakh

free float No. of share = 24 lakh

1bStep1 1

Bonus Ratio = $\frac{18}{24}$ < 0.75 : 1

* since bonus share are to be issued to outside investors only, Bonus Ratio is calculated using free float no. of share only And not total no. of share

(iii) ~~Bonus~~ Post Bonus Market price (assumed P/E same)

~~Profit~~ profit after tax 9.60 Crore

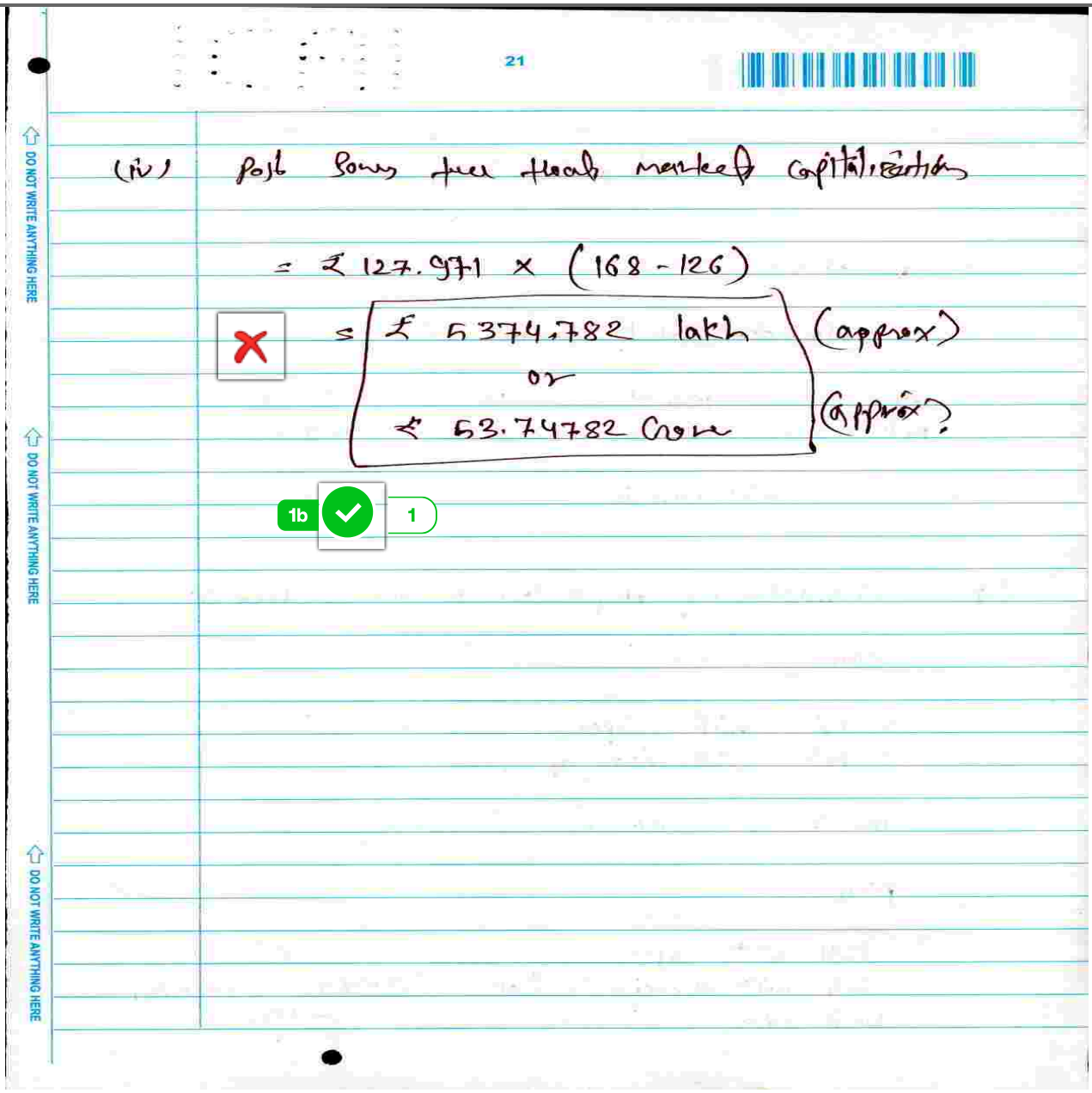
No. of share 1.68 Crore

EPS ₹ 5.714 (Approx)

(x) P/E Ratio 22.396

Market price ₹ 127.971 (Approx)

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21
(iv) Post Bonus free stock market capitalization
= ₹ 127.971 × (168 - 126)
= ₹ 5374.782 lakh (approx)
or
₹ 53.74782 Crore (approx)
1b
1
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22

Q1(c)

Working

Calculation total premium paid.

Call = 150 share × 42 = 6300
Put = 150 share × 8 = 1200

Total premium ₹ 7500

(i) Calculation of profit/loss in various scenarios.

price = 550.

Call will lapse.
Put will also lapse

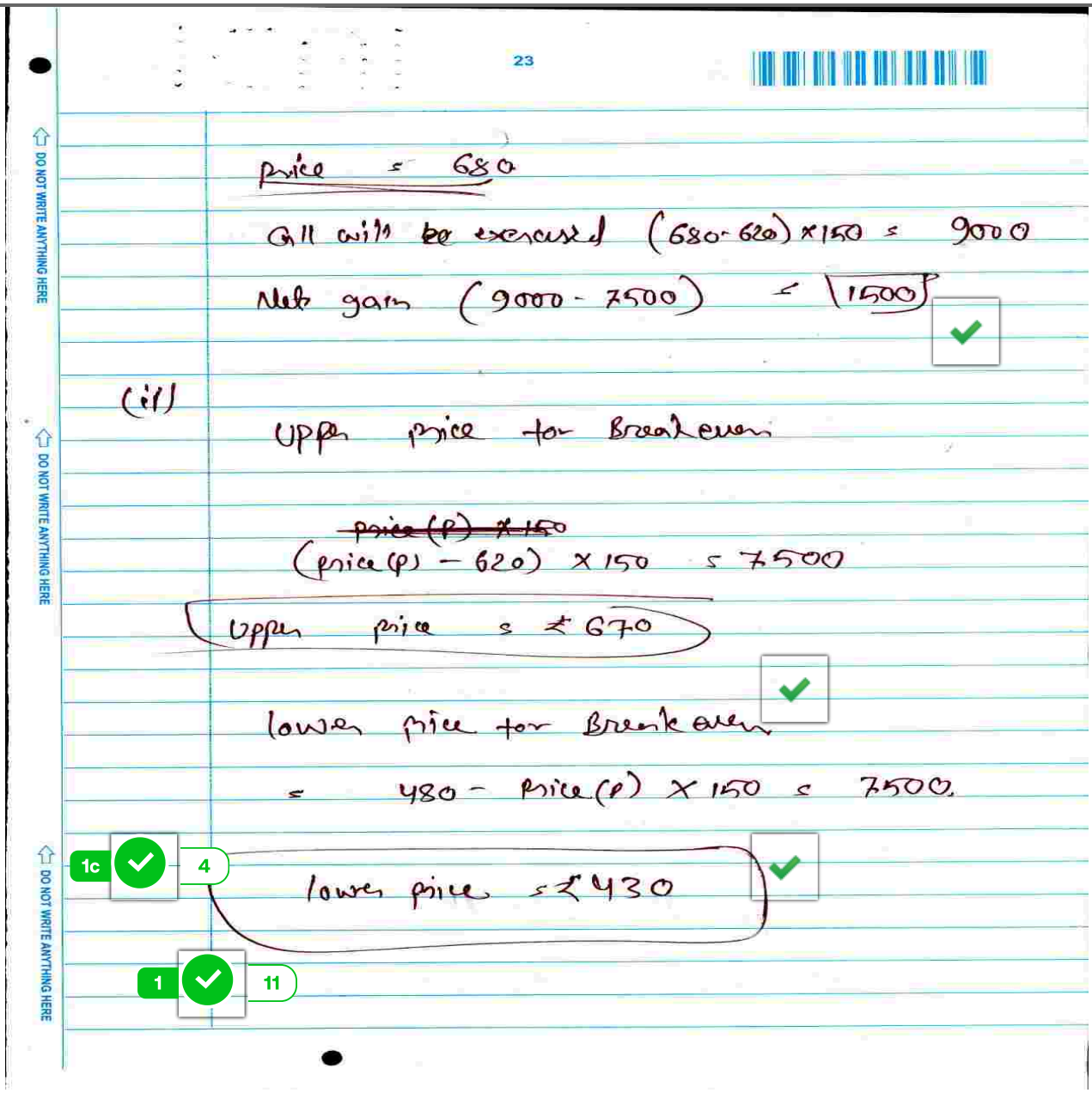
1cStep1 4

Accordingly Net loss = (7500)

price = 380.

Call will lapse. = 0
Put with exercised (480-380)×150 = 15000
Net gain = (15000 - 7500) = 7500

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23

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Price = 680

Call will be exercised (680-620) × 150 = 9000

Net gain (9000 - 7500) = 1500

(ii)

Upper price for Breakeven

~~price (P) × 150~~

(price (P) − 620) × 150 = 7500

Upper price = ₹ 670

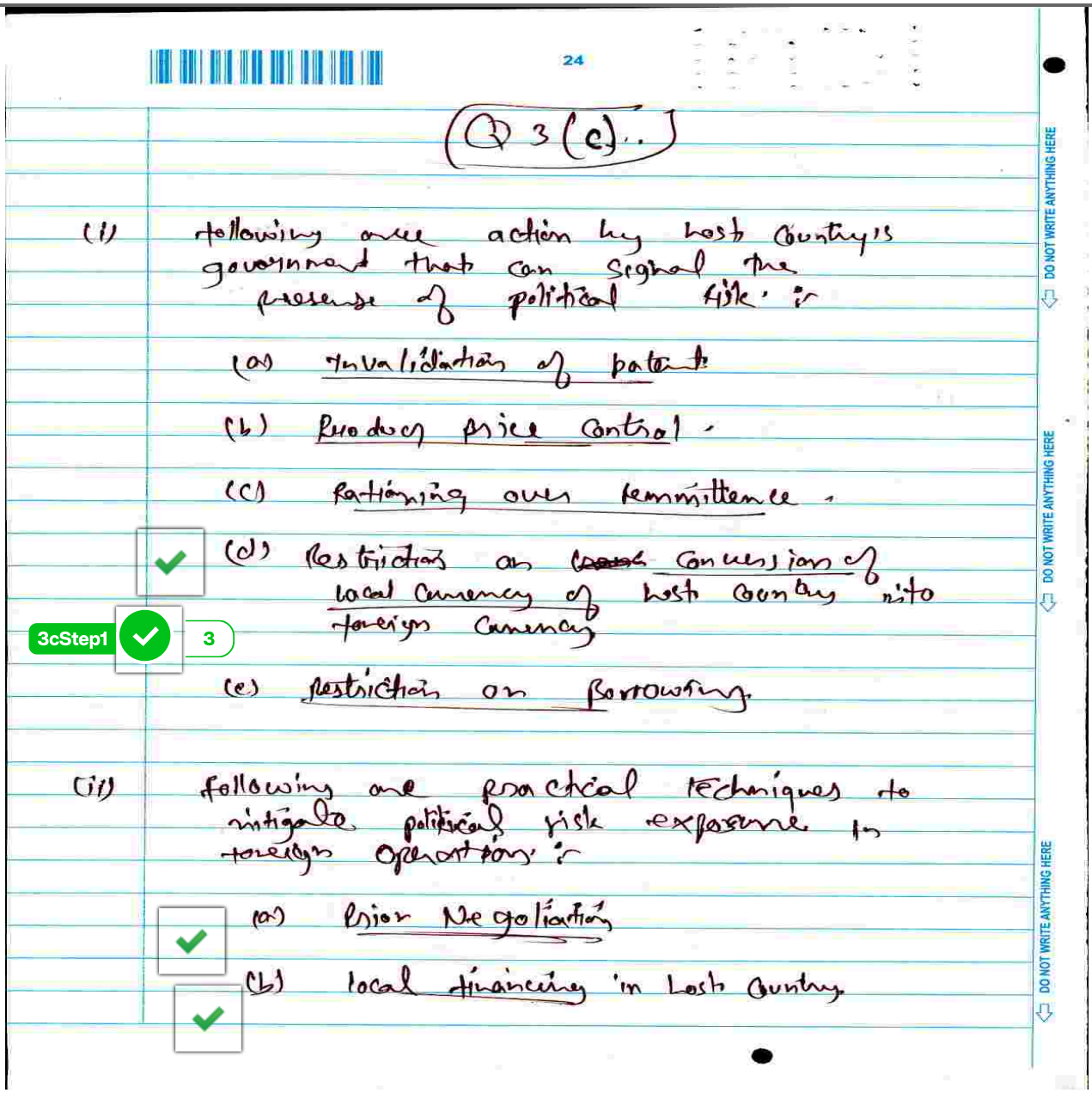
lower price for Breakeven

= 480 - price (P) × 150 = 7500

lower price = ₹ 430

1c 4

1 11



24

Q 3 (c)..

(i) following are action by host country's government that can signal the presence of political risk: ir

(a) Invalidation of patents

(b) Produce price control.

(c) Rationing over remittence.

(d) Restrictions on conversions of local currency of host country into foreign currency

3cStep1 3

(e) Restriction on Borrowing.

(ii) following are practical techniques to mitigate political risk exposure in foreign operations: ir

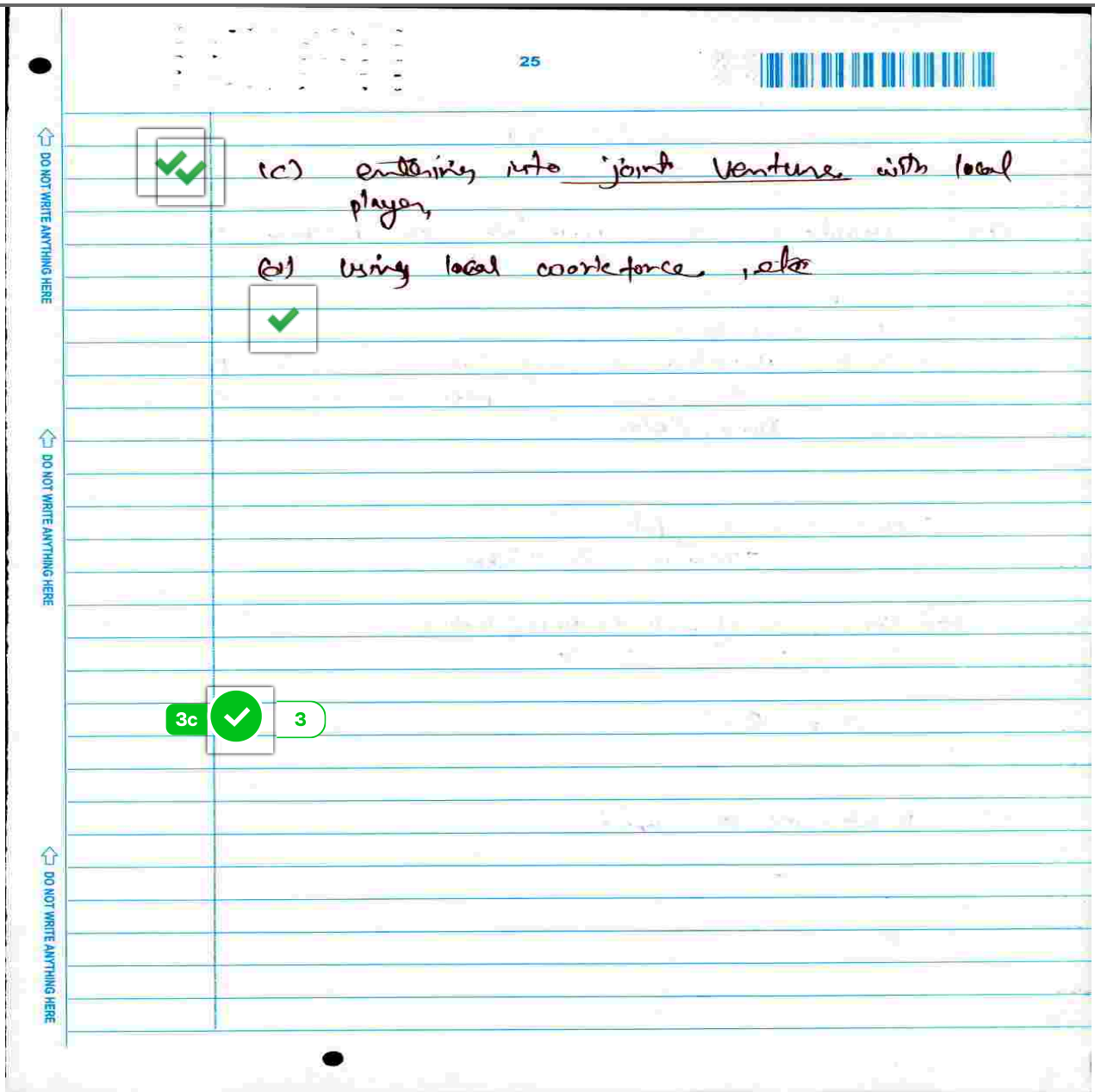
(a) Prior Negotiations

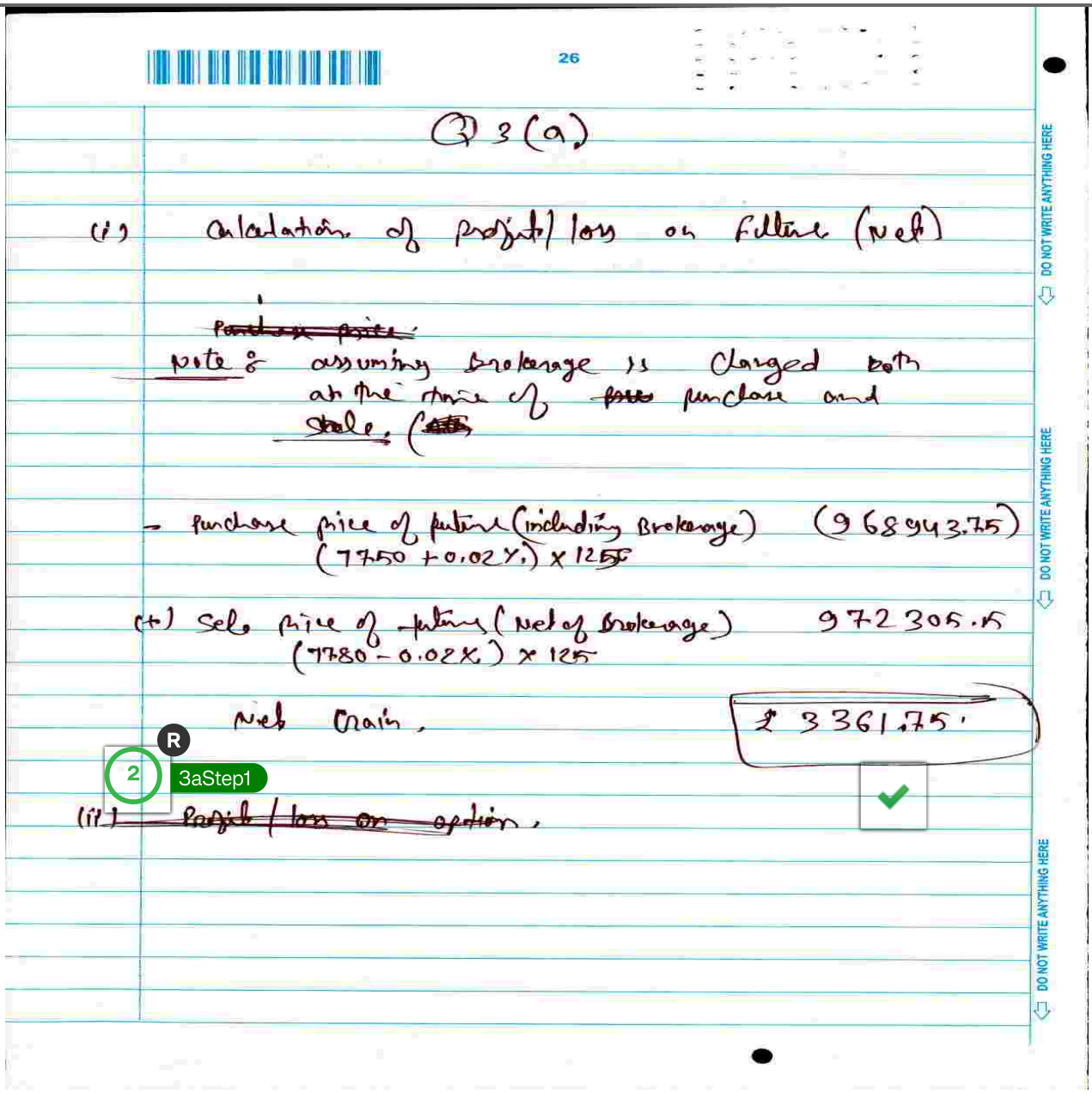
(b) local financing in host country.

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25
(c) entering into joint ventures with local player,
(d) using local workforce, etc
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3c
3



26

Q 3 (a)

(i) Calculation of Profit/loss on Future (Net)

~~Purchase price~~

Note :- assuming Brokerage is charged both at the time of ~~buy~~ purchase and ~~sale~~. (~~sell~~)

- Purchase price of future (including Brokerage) (968943.75)
(7750 + 0.02%) × 125

(+) Sale price of future (Net of Brokerage) 972305.5
(7780 − 0.02%) × 125

Net Gain, ₹ 3361.75

R
2 3aStep1

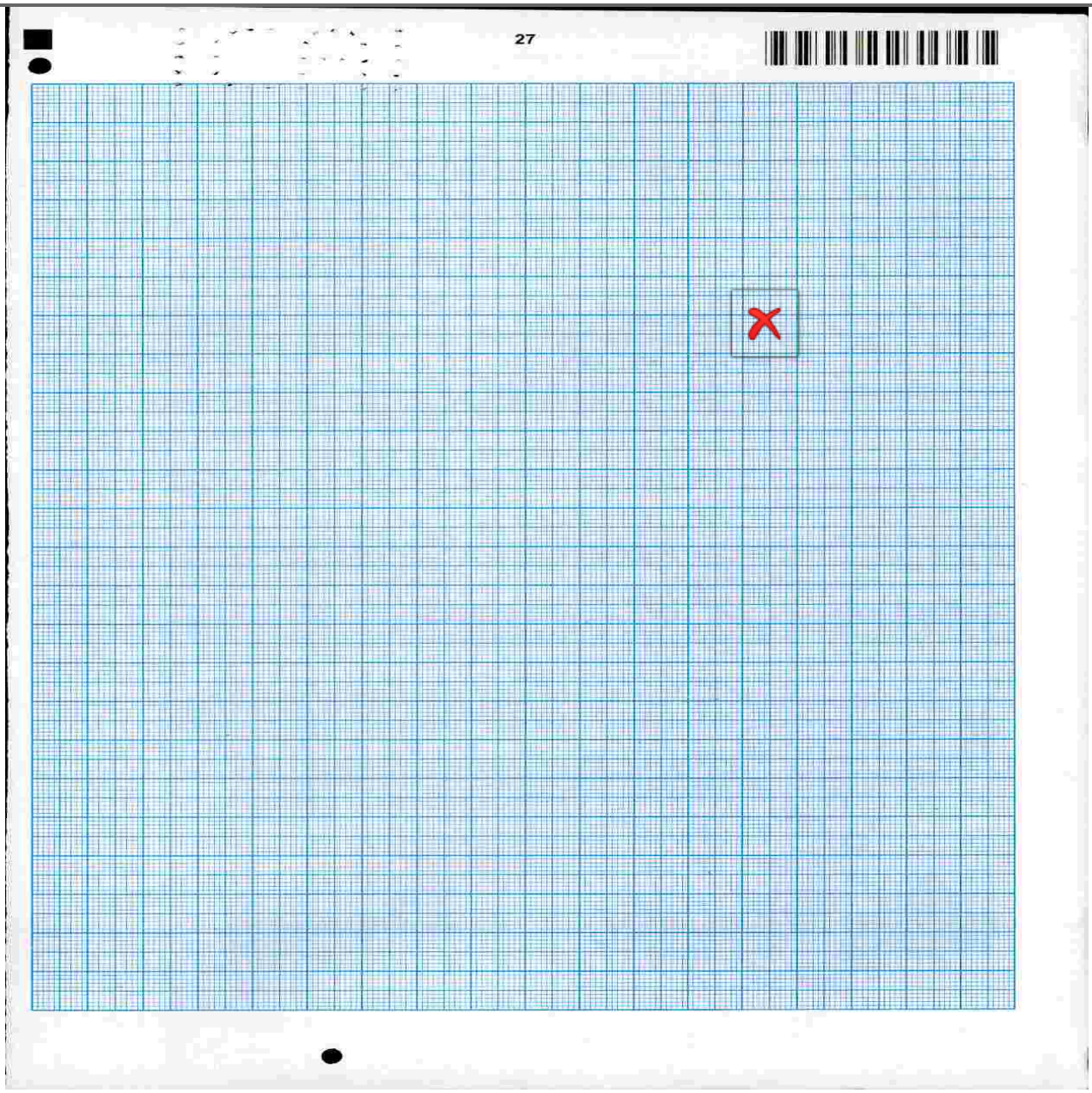
(ii) ~~Profit/loss on option~~,

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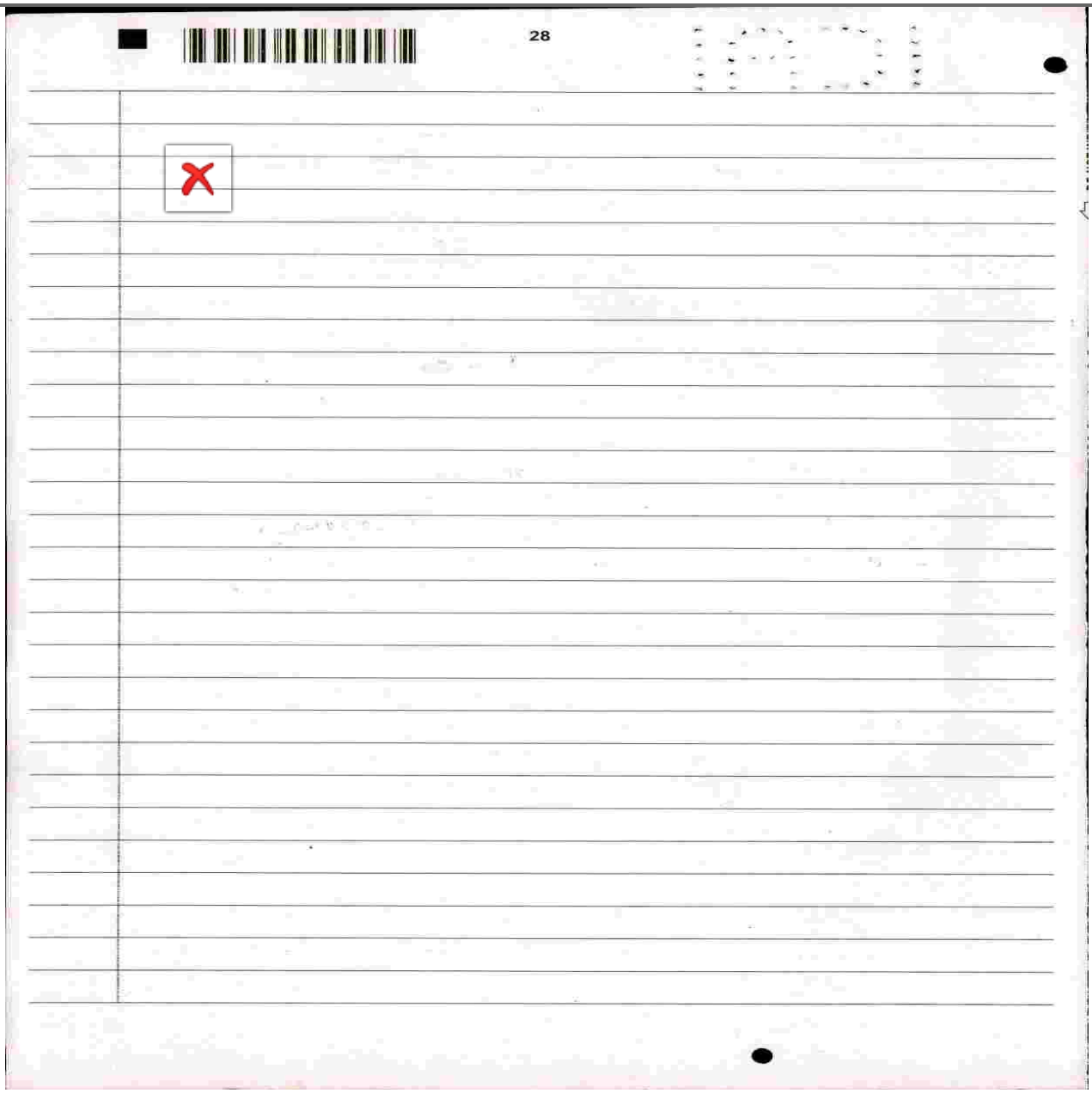
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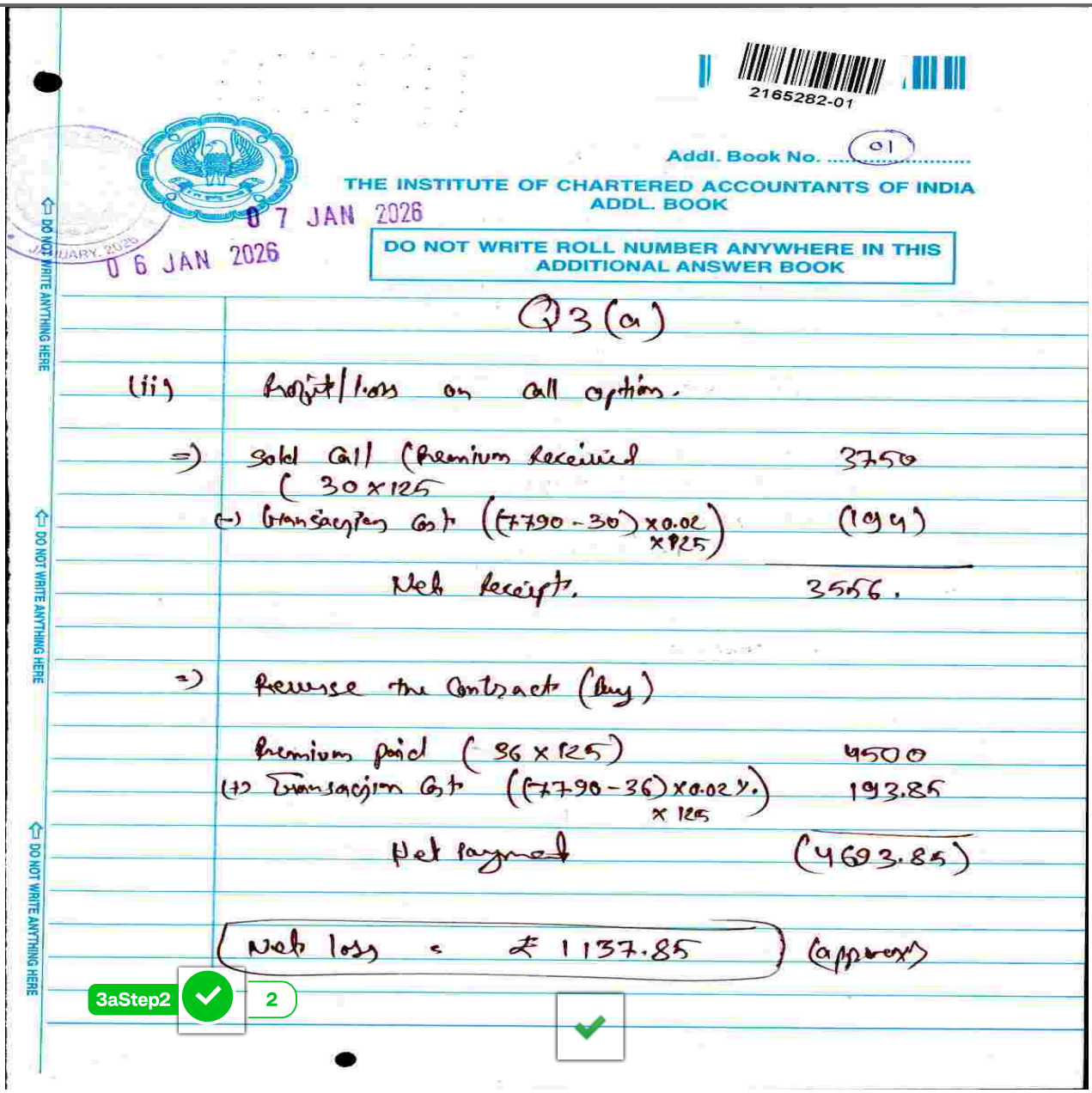
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Subject : 02 Advanced Financial Management Marks Obtained : 43





2165282-01

Addl. Book No. 01

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

07 JAN 2026

06 JAN 2026

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Q3(a)

(iii) Profit/loss on call option.

⇒ Sold Call (Premium received (30 × 125) 3750

(-) Transaction Cost (7790 - 30) × 0.02 × 125 (194)

Net receipt. 3556.

⇒ Reverse the Contract (Buy)

Premium paid (36 × 125) 4500

(+) Transaction Cost (7790 - 36) × 0.02 × 125 193.85

Net payment (4693.85)

Net loss = £ 1137.85 (approx)

3aStep2 2

2

(iii) Overall profit/loss

= 3361.75 − 1137.85

= ₹ 2223.9 profit

(iv) Total Brokerage Cost

7750 × 0.02% × 125 = 193.75
7780 × 0.02% × 125 = 194.5
Call Brokerage = 387.85
(194 + 193.85)

Total ₹ 776.1

3aStep3 2

3a 6

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3

2165282-02

Q 3 (b)

(i) Calculation of Cross Rates (Bid and Ask) (€/£)

Bid Rate $\frac{€}{£} = \frac{1}{\$/€} \times \frac{\$}{£}$

$= \frac{1}{1.9000} \times 1.6000$

$= 0.8421$ ~~0.84134~~ Euro/pound (approx)

Ask Rate $= \frac{1}{\$/€} \times \frac{\$}{£}$

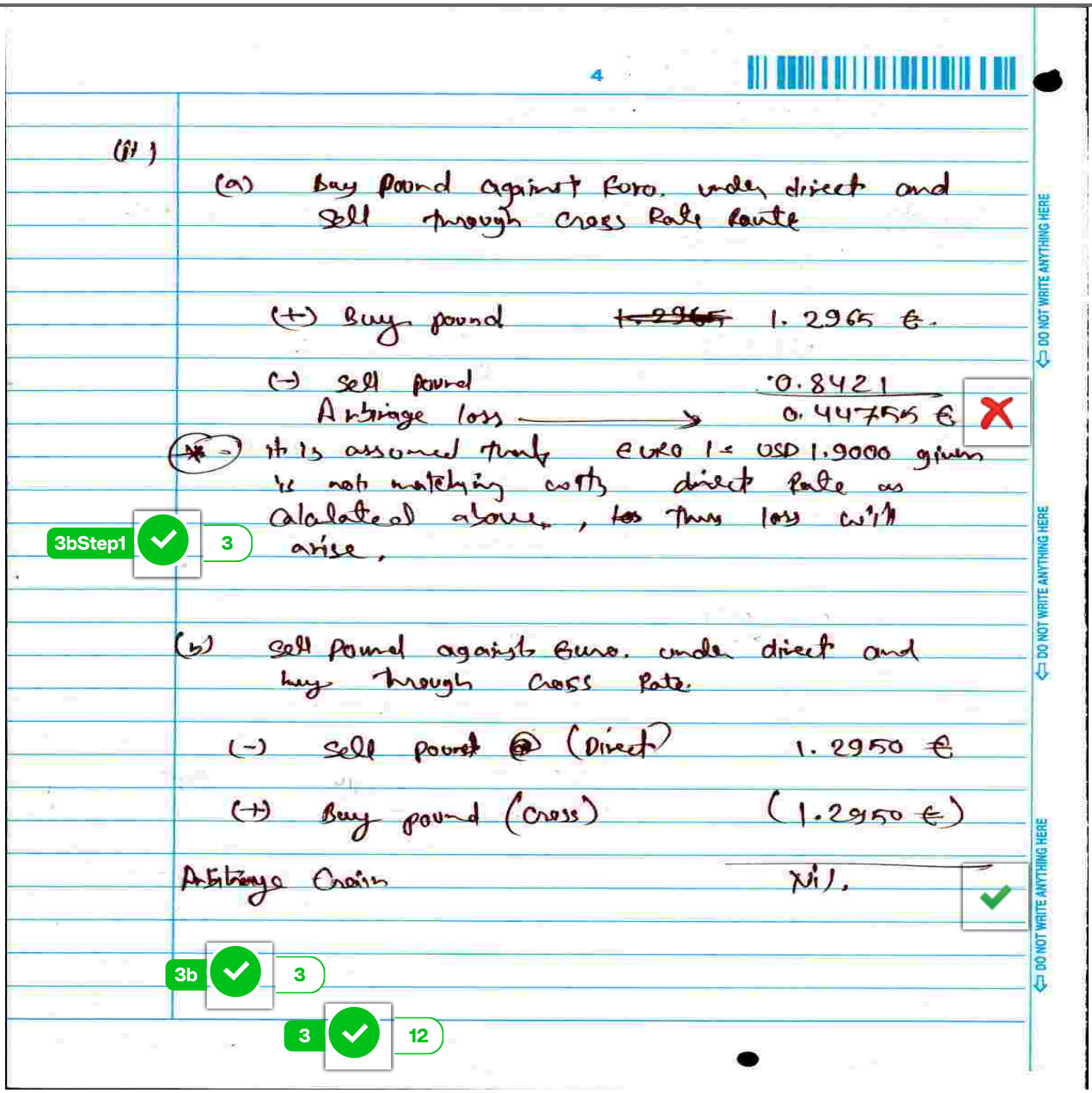
$= \frac{1}{1.2375} \times 1.6025$

$= 1.2950$ Euro/pound (approx

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4

(ii)

(a) Buy Pound against Euro. under direct and Sell through Cross Rate Route

(+) Buy pound ~~1.2965~~ 1.2965 €.

(-) Sell pound 0.8421

Arbitrage loss ——→ 0.44755 € ✗

(*) It is assumed that Euro 1 = USD 1.9000 given is not matching with direct Rate as calculated above, so Thus loss will arise,

3bStep1 ✓ 3

(b) Sell Pound against Euro. under direct and buy through Cross Rate.

(-) Sell pound @ (Direct) 1.2950 €

(+) Buy pound (Cross) (1.2950 €)

Arbitrage Gain Nil. ✓

3b ✓ 3

3 ✓ 12

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2165282-03

Addl. Book No. 02

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

06 JAN 2026
07 JAN 2026

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Q 2 (a).

(i) Pay immidiately and borrow for 90 days 25 lakh

Total Payment $ 8 mio × 66.98 = 5358.4

(-) Cash available (A) (25)

Borrowed (B) 5333.4.

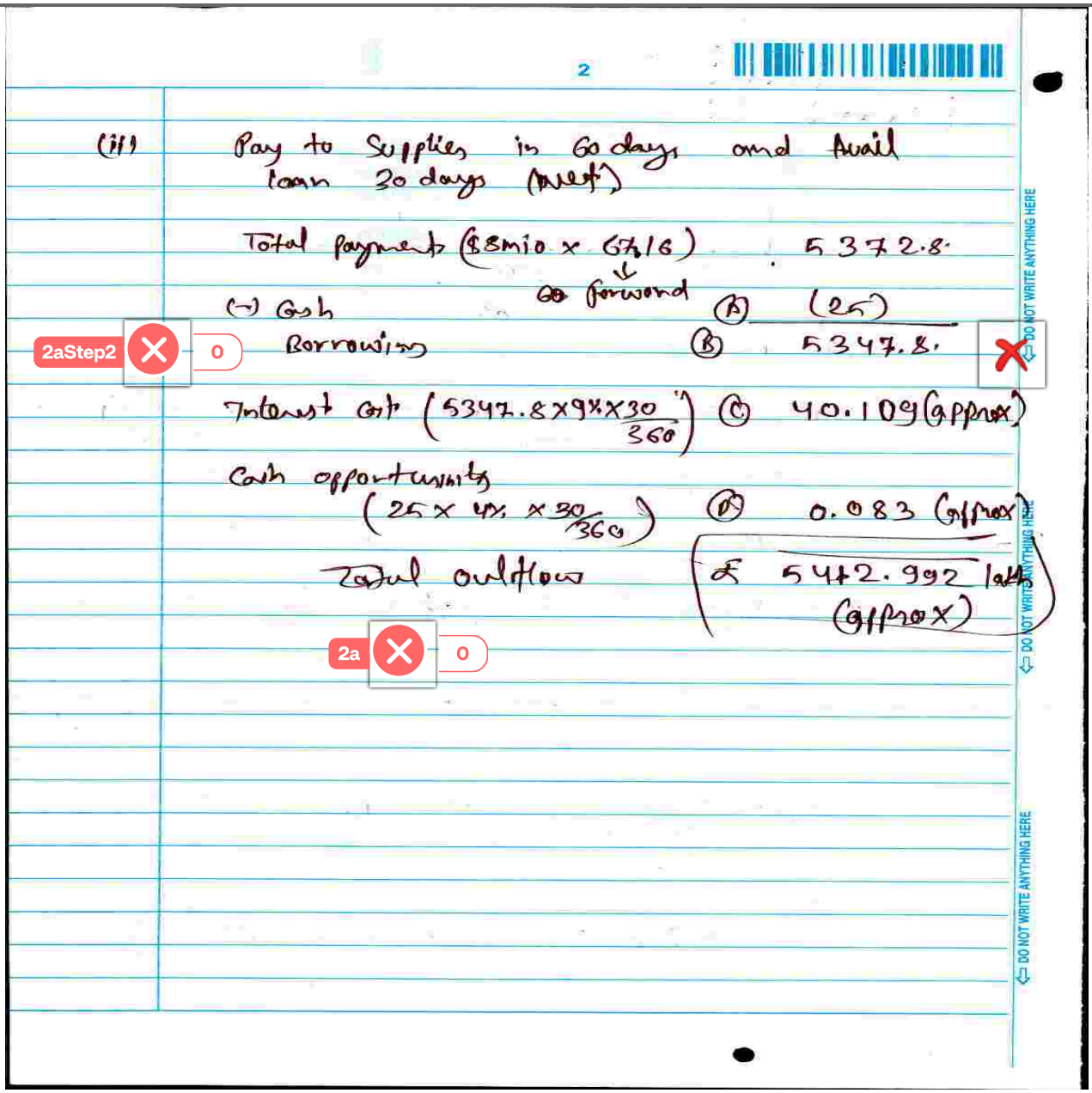
2aStep1 0

Interest on borrowing.

(5333.4 × 9% × 90/360) (C) 120 (approx)

Opportunity cost of 25 lakh (D) 0.25
(25 × 4% × 90/360)

Total outflow = ₹ 5478.65 lakh (approx)



2

(iii) Pay to Supplies in 60 days and Avail loan 30 days (Net)

Total payment ($8mio x 67.16) ↓ 60 forward — 5372.8

(-) Cash — (A) (25)

Borrowings — (B) 5347.8

Interest on (5347.8 x 9% x 30/360) — (C) 40.109 (approx)

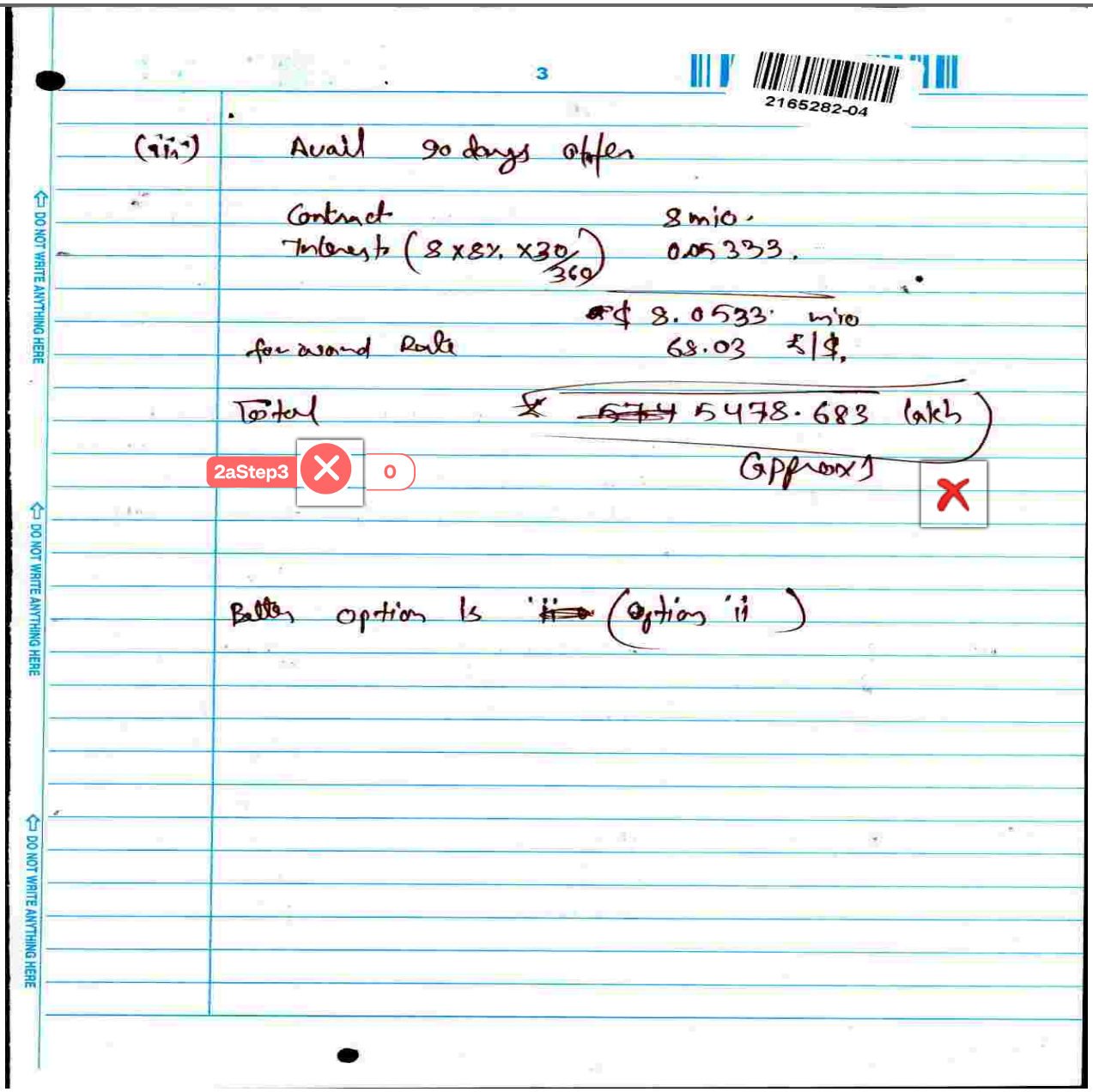
Cash opportunity (25 x 4% x 30/360) — (D) 0.083 (approx)

Total outflow — ₹ 5412.992 lakhs (approx)

2aStep2 ✗ 0

2a ✗ 0

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3

2165282-04

(iii) Avail 90 days offer

Contract 8 mio.

Interest $(8 \times 8\% \times \frac{30}{360})$ 0.05333.

$ 8.0533 mio

forward Rate 68.03 ₹/$.

Total ~~₹ 5474~~ 5478.683 (lakh)

(Approx)

2aStep3 0

Better option is ~~ii~~ (Option 'ii')

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Q 2(c)

		Real option	Financial option
(i)	Underlying asset ✓	underlying asset is project,	underlying asset is share, Bond, etc.
(ii)	Pay off ✗	Payoff are generally for example - value of patent, value of abandonment option, etc	Pay off are Calculated based on difference in agreed rate and exercise date.
(iii)	Exercise Period ✗	exercise priod is not fixed,	exercise priod is fixed and pre agreemed
(iv)	Approach ✗	it is based on rational calculation.	it is based on actual cash flow

2cStep1 ✓ 1

2c ✓ 1

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Addl. Book No. 03

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Q 2 (b)

(i) 65% operation:

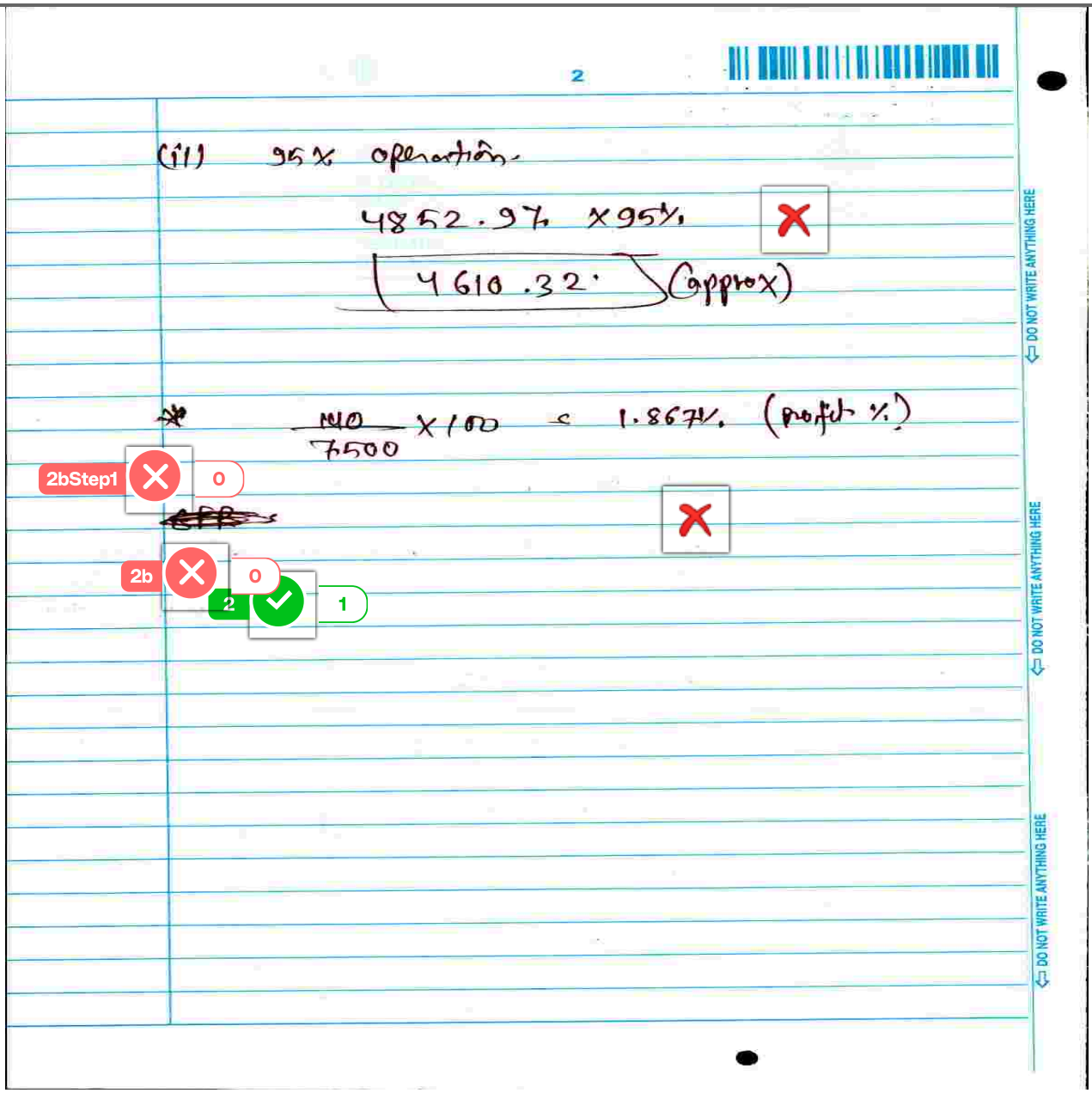
External funding requirement

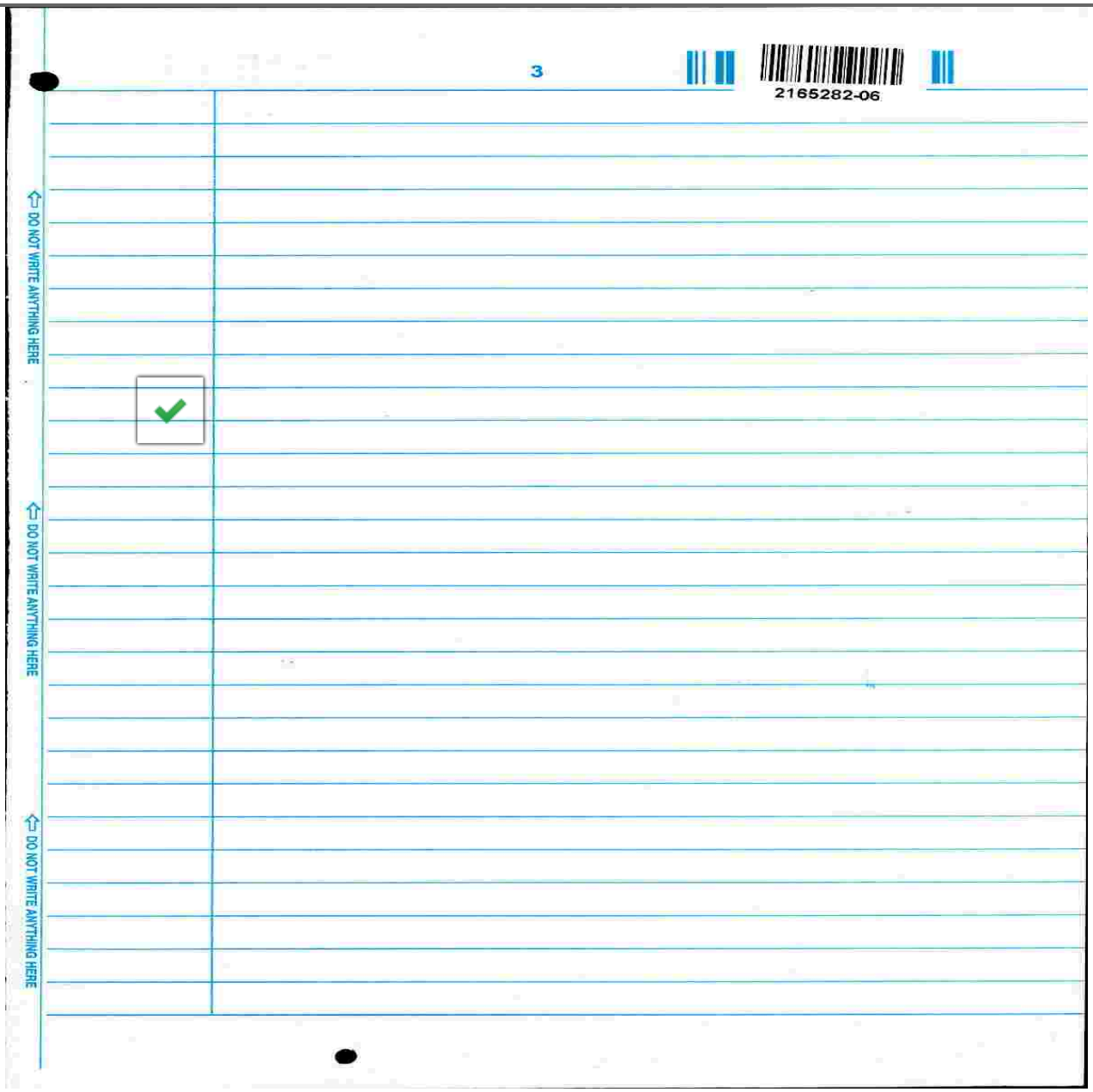
$= \left(\frac{6000}{7500} - \frac{1500}{7500}\right) \times 7500 \times 40\% - (7500 \times (1.4) \times 1.867\% \times (1-0.25)$

$= 5000 - 147.026$

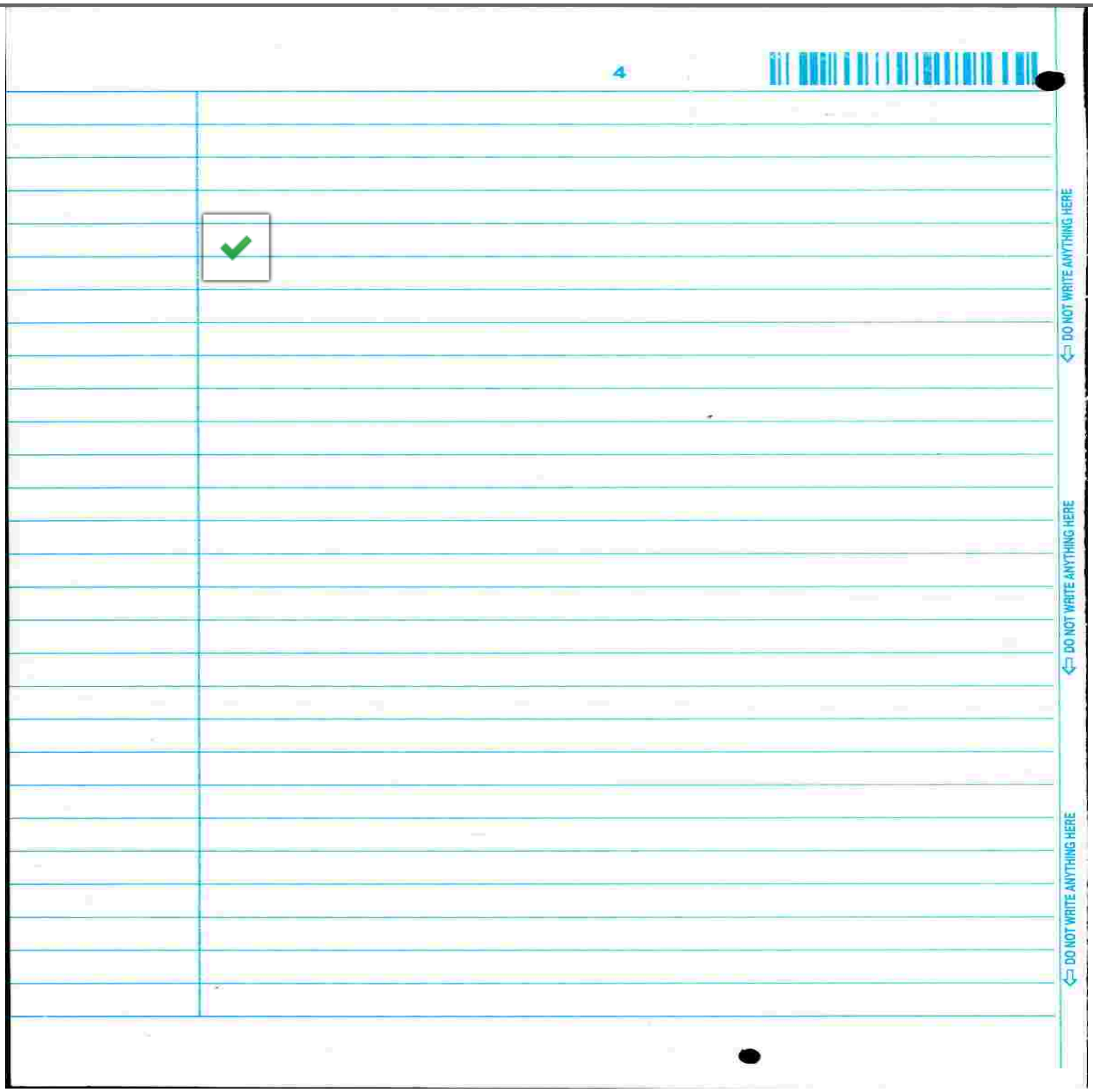
$= 4852.97 \times 65\%$

$= 3154.44$ (approx)


2
(iii) 95% operation.
4852.97 × 95%
4610.32 (approx)
NO / 7500 × 100 = 1.86%. (profit %)
2bStep1
0
2b
0
2
1
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Code: FN2AF165282 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 43



The Institute of Chartered Accountants of India

Code: FN2AF165282
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 43

Result Overview

Awarded Marks: 43

Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 11/14)

Question No	Awarded Marks	Maximum Marks	Status
1	11	14	M
1a	6	6	M
1b	1	4	M
1c	4	4	M

Q2_Q6 (Score: 32/56)

Question No	Awarded Marks	Maximum Marks	Status
2	1	14	M
2a	0	6	M
2b	0	4	M
2c	1	4	M
3	12	14	M
3a	6	6	M
3b	3	4	M
3c	3	4	M
4	0	14	O
4a	0	6	O
4b	0	4	O
4c	0	4	O

5	8	14	M
5a	2	8	M
5b	6	6	M
6	11	14	M
6a	5	6	M
6b	4	4	M
6c	2	4	M